

CORPORATE FX & MARKETS MONTHLY

MAY EDITION

GLOBAL MACRO STRATEGY



MARKETS 360TM

STRATEGY & ECONOMICS

MAY 2024

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USD: Remaining in a range

The USD has retreated from its highs in April after data across labour market, inflation, and consumption showed signs of softening. Despite cooling data, we expect the range since the beginning of the year to hold. Hence our forecasts remain unchanged, and we look for EURUSD and USDJPY to finish 2024 at 1.06 and 153, respectively. For the USD to weaken, we believe we would need to see a significant deterioration in the US labour market, eurozone data surprising to the upside or Joe Biden gaining a substantial lead in the polls ahead of the US election – see [Signposts to watch for a weaker USD](#), dated 24 May.



FX VIEW

There are several reasons why the USD can remain supported. First, despite recent US data missing expectations, it remains strong on aggregate and the gap to the rest of the world remains wide. For data to turn the tide in the USD more meaningfully [we think a deterioration in the labour market is required](#).

Second, the Fed still does not have sufficient confidence in inflation returning to target, and with other global central banks already cutting the USD can remain supported by interest-rate differentials, in our view.

As a result of higher yields, we also expect global investors to continue to favour USD denominated assets, something that can support the USD despite valuations being rich.

Lastly, the bigger risk out of the US election is to the upside in the USD in our view. Price action in Q4 will be especially sensitive to US election outcomes: a Republican sweep may prompt us to turn more bullish on the USD.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Inflation since the start of the year has dented the Fed's confidence in the disinflation trajectory, and with growth remaining robust, we think the bar is now higher for the first rate cut.

We revised our Fed call and now expect only one cut in 2024 at the December meeting and see the Fed funds rate at 4.25% by end-2025. Risks are two-way, we think, where inflation remaining too strong can lead to an extended pause, while labour market beginning to roll over may trigger an earlier-than-expected cut.

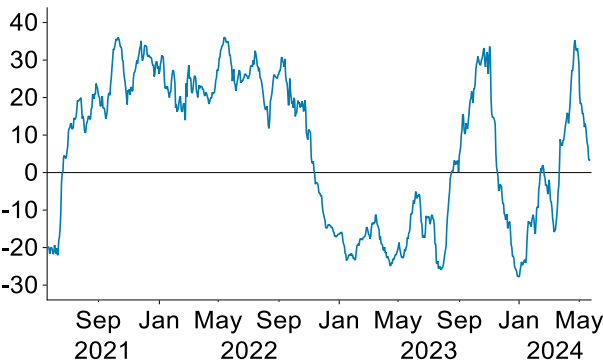
FAIR VALUE

On a G10 trade-weighted index, the USD is trading almost 2 standard deviations (23%) rich relative to BNP Paribas FEER estimates of its long-term fair value.

BALANCE OF PAYMENTS

The US current account deficit is funded by foreign buying of US fixed income, primarily by European and Japanese investors. These investors are heavily overweight US assets in their portfolios. If they look to diversify, it may lead to USD weakness. In addition, FX hedge ratios on these holdings are at historically low levels, so if investors begin to hedge their existing stock of USD holdings, the move could also lead to significant USD selling, in our view.

Fig. 1: Long USD positioning has been unwound



Sources: Macrobond, BNP Paribas

Fig. 2: USD forecasts

Forecast	2024*	2025*
DXY	105.9	102.2
EURUSD	1.06	1.10
GDP (% y/y)	2.50	1.80
CPI (% y/y)	3.40	2.90
Policy rate (%)	5.25	4.25
10y yield (%)	4.20	4.20

* year-end forecast

Source: BNP Paribas



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EUR: Limited scope for a sustained rally



FX VIEW

EURUSD has rebounded and now trades closer to the middle of its year-to-date range. We ultimately think this range will hold and continue to forecast EURUSD ending the year at the low end of this range, at 1.06. Recently data has evolved in favour of EURUSD: US data has failed to strengthen further while eurozone PMIs and GDP data have surprised to the upside, reaffirming our positive view on the European growth outlook. Further, energy prices coming off a peak has helped to reduce some risk premium embedded in the EUR.

That said the ECB looks set to begin its rate-cutting cycle in June, well ahead of the Fed, which moves interest-rate differentials against the EUR, and leaves the EUR more vulnerable to being used as a funder in carry trades. Additionally, while PMIs indicate that momentum in the eurozone is positive, the absolute growth differential against the US remains wide. Through the lens of the balance of payments, both the factors would lead to [more of the current account surplus getting recycled abroad](#), as investors seek higher-yield and higher-growth assets.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

We expect the ECB to begin its rate-cutting cycle in June and lower policy rate by 75bp this year, in line with the current market pricing. For investors, the focus at the June meeting will be on the guidance on the path of the easing cycle. We envisage the ECB to lean towards a more gradual approach, opting to be cautious while cutting rates, given stickiness in inflation and upside risks to growth. Eurozone activity continues to improve at the beginning of this year (see Figure 1).

FAIR VALUE

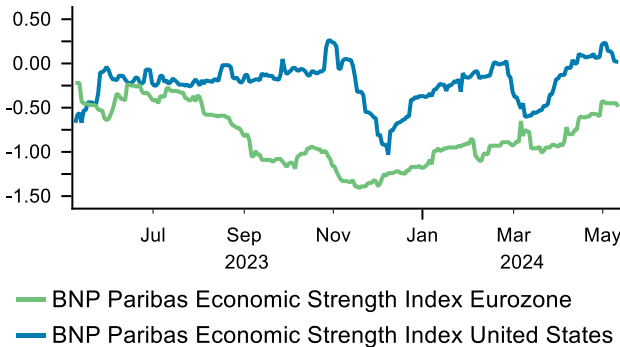
The EUR remains significantly cheap relative to its long-term fair value, with BNP Paribas FEER model suggesting an equilibrium level of 1.38 versus the USD.

Our medium-term BNP Paribas CLEER™ model implies EURUSD is rich relative to its fair value of 1.05. The model projects EURUSD at 1.04 by end-2024 and 1.07 by end-2025. The improvement in 2025 is likely to be driven by interest-rate differentials eventually improving for the EUR, along with an improved output gap in the eurozone.

BALANCE OF PAYMENTS

The eurozone's balance of payments has been a tailwind for the currency, but we see risks of that support waning. The current account is comfortably in surplus. However, it could be more and more recycled abroad going forward. Eurozone investors have been buying foreign debt at slower pace than in the past, but that could increase. Likewise, the eurozone's value-driven equity indices make it less competitive in an AI boom, which could lead to portfolio outflows. Structural challenges also suggest that FDI outflows could accelerate.

Fig. 1: BNP Paribas economic strength indices



Sources: Macrobond, Bloomberg, BNP Paribas

Fig. 2: EUR forecasts

Forecast	2024*	2025*
EURUSD	1.06	1.10
EURGBP	0.83	0.83
GDP (% y/y)	0.80	1.70
HICP (% y/y)	2.40	2.10
Policy rate (%)	3.25	2.50
10y Bund yield (%)	2.00	2.50

*Year-end forecasts

Source: BNP Paribas



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JPY: Undermined by wide rate differentials

The combination of recent softness in US data and potential MoF FX intervention have stalled bullish USDJPY momentum. As a result the pair now trades close to our year-end target of 153.

In the near term we think wide rate differentials between Japan and elsewhere will likely keep the trend higher in USDJPY intact. However, the threat of MoF FX intervention means any further JPY weakness is likely to be moderate rather than abrupt, in contrast to price action in March and April.

We see no evidence of domestic investors changing their behaviour, meaning in order for fundamentals to shift in favour of the JPY, we'd have to see a significant narrowing in rate differentials.

While we think the BoJ could proceed with rate hikes at a faster pace given the weakening of the JPY, we see this as ultimately insufficient to close the gap. For USDJPY to weaken sustainably we instead think lower US rates are required.

FX VIEW



MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

We think the BoJ will look to tighten policy further and have pencilled in another rate hike in September. While the central bank is unlikely to look favourably at ongoing JPY weakness and could bring forward the anticipated hike to June or July if this persists, such a still-measured pace of tightening is unlikely to shift wide US-Japan rate differentials.

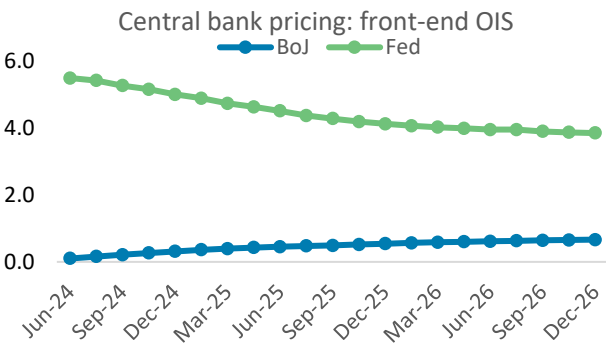
FAIR VALUE

The JPY is trading at extremely cheap levels from a valuation perspective. BNP Paribas CLEER™ suggests a fair value of 134 by end-2024 and 130 by end-2025, driven by narrowing US-Japan rate differentials. BNP Paribas FEER puts USDJPY's long-term fair value below 80.

BALANCE OF PAYMENTS

Evidence of Japanese investor debt repatriation remains scarce, and with that, onshore investor flows are not supportive for the JPY. Though flow dynamics could eventually prove bullish for the currency once the BoJ hikes rates further – via debt repatriation or rising hedge ratios – the lack of yield means the JPY remains an attractive funding currency for carry trades for now, in our view.

Fig. 1: Fed-BoJ policy rates are priced to remain very wide



Sources: BNP Paribas, Macrobond, Bloomberg

Fig. 2: JPY forecasts

Forecast	2024*	2025*
USDJPY	153	148
EURJPY	162	163
AUDJPY	99.45	99.16
JPYKRW	9.08	9.12
GDP (% y/y)	0.30	1.00
CPI (% y/y)	2.90	2.30
Policy rate (%)	0.25	0.75
10y yield (%)	1.26	1.60

* Year-end forecast

Source: BNP Paribas





GBP: Resilient to BoE rate cuts

We remain positive on the GBP and continue to forecast EURGBP ending the year at 0.83.

A general election has now been announced for 4 July. The polls continue to point to a labour majority outcome. This was reinforced by the Labour party performing well in recent local elections. In such a scenario we'd expect fiscally prudent but also growth positive policies to usher in a period of relative political stability that can be supportive for the GBP.



FX VIEW

The risk to this view is if polls narrow, and introduce some uncertainty, or if Labour move away from a balanced approach to policy. We think the likelihood of either of these risks materialising is low enough for us to view the election as a positive for the GBP but bears watching going into the event.

On top of this, UK yields remain high. This is something we expect to be sustained as any move to BoE rate cuts may only be slow due to ongoing stickiness in services inflation and resilience in economic activity. We now only expect the first BoE rate cut in August after the April inflation release only showed slow progress in underlying inflation.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

UK economic activity continues to improve. The composite PMI remains expansionary at 52.8 (see Fig. 1). At the BoE's May meeting, two MPC members voted for a rate cut versus just one previously, leaving seven committee members with an on-hold view. At the same time, the guidance reiterated a data-dependent approach and alluded to a rate cut being warranted if the data allowed. With the April inflation release revealing ongoing stickiness in services inflation we now do not think the MPC will obtain sufficient evidence of inflation progress to cut rates until the August meeting (from June previously).

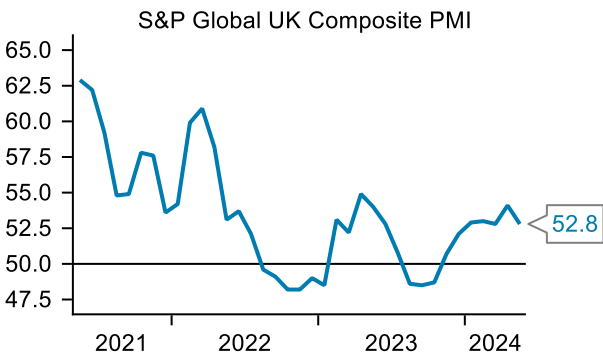
FAIR VALUE

BNP Paribas FEER, our long-term fair-value model, suggests equilibrium levels for the GBP of 1.62 and 0.85 versus the USD and EUR, respectively. Our medium-term model, BNP Paribas CLEER™, implies EURGBP is trading in line with fair value at 0.85. However, our economic forecasts imply a decline to 0.83 by end-2024.

BALANCE OF PAYMENTS

The UK's broad basic balance of payments remains deeply in negative territory at -11.9% of GDP. The current account deficit at 2% of GDP remains stable and we see little reason for it to deteriorate anytime soon. It also continues to be partly offset by ongoing demand for UK debt securities by foreign investors.

Fig. 1: The composite PMI increased in April



Sources: Macrobond, BNP Paribas

Fig. 2: GBP forecasts

Forecast	2024*	2025*
GBPUSD	1.28	1.33
EURGBP	0.83	0.83
GDP (% y/y)	0.60	1.20
CPI (% y/y)	2.60	2.20
Policy rate (%)	4.50	3.50
10y yield (%)	3.70	3.65

* year-end forecast

Source: BNP Paribas



Joshua Wilcock, FX Strategist, G10 | BNP Paribas London Branch



CHF: Remaining weak

The CHF has weakened sharply since the start of the year leaving EURCHF close to our year-end target of 0.98. While the CHF’s fundamentals remain bearish overall, we think that any further decline is likely to be modest.

The currency may still tend to be used as a funder for carry trades in FX with the SNB having appeared not to intervene in the FX market since the beginning of the year, but this is already quite a well-held position according to our proxy for positioning. Moreover, as Swiss inflation remains within the SNB’s target range, markets already price in the possibility of a June rate cut.

One risk is that persistent weakness in the currency pushes up inflation. While this usually only occurs with a long lag, Swiss inflation has been kept low by its import-driven component which, as April’s figure shows, now appears to be stabilising (see Figure 1).

Moreover, we would expect the CHF’s downside to be limited by supportive PPP dynamics and a narrowing of the country’s broad basic balance of payments deficit. In addition, the build-up of short CHF positions could come under pressure if geopolitical risks were to materialise and risk sentiment in markets turns bearish.



FX VIEW

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Swiss headline inflation ticked higher to 1.4% y/y in April, from 1.0% in March. In particular, the import driven component of inflation showed signs of stabilising, after its previous falls. However, headline inflation remains well within the SNB’s target range. Against this backdrop, the market prices around 18bp of cuts for the June meeting. We think risks are skewed towards the market moderating rate cut expectation pricing for June in the near-term.

FAIR VALUE

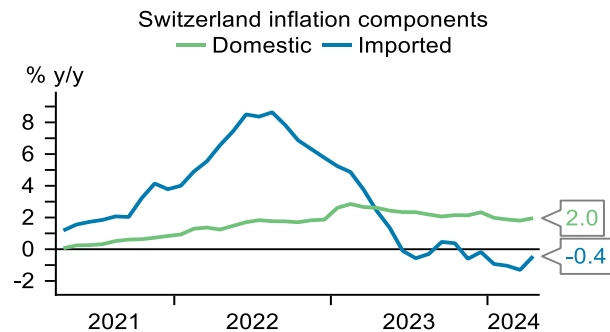
Our BNP Paribas CLEER™ medium-term fair value for EURCHF is 0.97 at the end of 2024 and stays at this level until the end of 2025.

CLEER™ suggests that, over the past decade, EURCHF’s fair value has been driven down by low Swiss inflation relative to the eurozone. This is unlikely to change limiting the CHF’s downside versus the EUR over the medium term.

BALANCE OF PAYMENTS

Switzerland’s broad basic balance of payments deficit narrowed to 7.8% of GDP in Q4 2023. Portfolio inflows were negative and outbound foreign direct investment flows accelerated. That said, the current account surplus was stable providing some support for the CHF.

Fig. 1: The import driven component of Swiss inflation has stabilised



Source: Macrobond, BNP Paribas

Fig. 2: CHF forecasts

Forecast	2024*	2025*
EURCHF	0.98	0.98
USDCHF	0.92	0.89
GDP (% y/y)**	1.39	1.80
CPI (% y/y)**	1.20	1.16
Policy rate (%)***	1.00	1.00

* year-end forecast **IMF forecast ***Bloomberg consensus

Sources: Bloomberg, BNP Paribas





CAD: Risks to the downside

We continue to expect CAD to remain on the backfoot, with our forecast for USDCAD at 1.38 by the end of 2024. The first quarter of the year can be characterized by contrasting inflation narratives. In the US, CPI consistently surprised higher, eroding Fed confidence in disinflation and pushing out the timeline for the first cut. Conversely, Canada CPI has been below Bloomberg consensus throughout Q1, opening the door for imminent cuts.



FX VIEW

On USDCAD, we remain bearish as a result of this central bank divergence, with growth differentials also weighing on CAD. There has been some evidence of favourable pass through given positive US economic momentum, but broadly, Canadian growth continues to appear weak. And with US data having recently begun softening, this likely limits the extent of any US-driven rebound in Canada.

Additionally, USDCAD has rebounded from its highs in April, but on the crosses CAD has underperformed its G10 counterparts. We think this stems from the factors noted above in addition to CAD often trading as a proxy for the USD.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Both market pricing and economist expectations are split 50/50 between a cut or a hold at the June meeting. Inflation has surprised to the downside so far this year, with 3m annualized measures of headline and core inflation at the BoC's target. Sustained evidence of disinflation is the first priority for the BoC, so the current trend raises the risks of it delivering the first cut in June, in our view.

By year end, markets are pricing just 60bp of cuts, in contrast to survey expectations for 100bp of cuts. This suggests to us that the risk is skewed towards markets pricing in more cuts for the year, should data continue to evolve favourably.

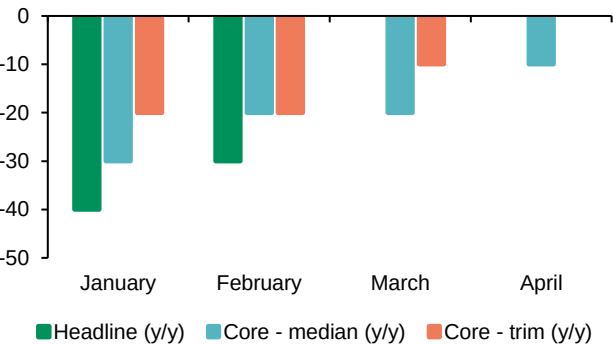
FAIR VALUE

USDCAD currently trades around its BNP Paribas CLEER™ fair value of 1.38. The medium-term model projects the pair to extend to 1.40 by end-2024, which is higher than the previous value of 1.31. The upward revision is due to expectations of sticker inflation in the US and hence higher relative 2y swap rates.

BALANCE OF PAYMENTS

Canada's current account has marginally improved as US growth has supported exports, although imports have struggled due to weak domestic consumption. Both FDI and portfolio flows are negative, leaving the broad basic balance of payments at historically weak levels. This increases CAD's vulnerability, especially in risk-off scenarios.

Fig. 1: Spread between inflation and forecasts (bp)



Sources: Bloomberg, BNP Paribas

Fig. 2: CAD forecasts

Forecast	2024*	2025*
USDCAD	1.38	1.36
EURCAD	1.46	1.50
GDP (% y/y)**	2.31	1.86
CPI (% y/y)	1.85	1.89
Policy rate (%)***	4.00	3.00

* year-end forecast **IMF forecast ***Bloomberg consensus

Source: IMF, Bloomberg, BNP Paribas



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AUD & NZD: Remaining range bound



AUD VIEW



NZD VIEW

AUDUSD and NZDUSD have rebounded from the lows of their annual ranges on the back of a softening of US economic data and subsequent rebound in risk appetite. Given a continued lack of confidence in a significant economic recovery in China, and as we expect the USD to remain range bound, we expect the AUD and NZD to remain around current levels, and our end-2024 AUDUSD and NZDUSD forecasts are unchanged at 0.65 and 0.60, respectively.

The AUD remains particularly cheap to its fair value, according to our CLEER™ model, weighed down by negative sentiment with regards to China. We expect this to remain the case unless sentiment towards China improves significantly. However, we expect the AUD's sensitivity to equities and market pricing of RBA policy remaining on hold for longer to provide support. Meanwhile, the NZD offers the highest vol-adjusted carry in G10, which would support the currency in a carry supportive environment. However, we remain hesitant to structurally chase this given New Zealand's poor domestic fundamentals.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

In Australia, the RBA was more dovish than markets were expecting despite a surprise rise in inflation in Q1. Since then, data have softened, with wage growth recently weaker than expected and the unemployment rate rising back above 4%. However, developments have been largely in line with RBA expectations and markets are pricing in the RBA keeping its policy rate on hold for a long period.

In New Zealand, economic data continue to soften as the country remains in a technical recession. Unemployment has risen and inflation expectations have moderated, but continued resilience in the non-tradeable components of inflation prevent the RBNZ from turning more dovish. In their May meeting they pushed back the start of rate cuts in their forecast profile to Q2 2025, one quarter later than previously was the case.

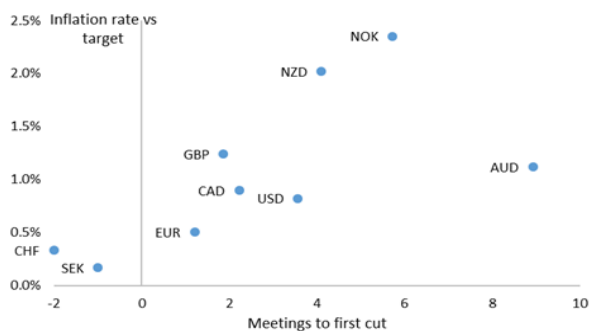
FAIR VALUE

The AUD remains cheap against its BNP Paribas CLEER™ medium-term fair value of 0.69 and is the most undervalued pair across G10. The model projects a rise in the AUD's fair value to 0.75 by the end of 2024 as AUD interest rate spreads turn more supportive. In contrast, the model is neutral on the NZD, with the pair trading at its fair value which is calculated to remain stable.

BALANCE OF PAYMENTS

Australia's current account improved in Q4 2023, as mining and commodity exports rose, while imports fell. The broad basic balance of payments improved, as an improvement in FDI offset weakness in portfolio investment. New Zealand's broad basic balance of payments deficit remains substantial due to a sizable current account deficit. This leaves the currency particularly vulnerable to risk-off periods, in our view.

Fig. 1: RBA is priced to cut rates much later than G10 peers



Sources: Bloomberg, BNP Paribas

Fig. 2: AUD and NZD forecasts

Forecast	2024*	2025*
AUDUSD	0.65	0.67
NZDUSD	0.60	0.62
AUDNZD	1.08	1.08
EURAUD	1.63	1.64
EURNZD	1.77	1.77
Policy rate AUD (%)**	4.15	3.40
Policy rate NZD (%)**	5.05	3.80

*year-end forecast **Bloomberg consensus

Source: BNP Paribas



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NOK & SEK: Bullish NOK fundamentals



NOK VIEW



SEK VIEW

We retain our forecast for EURNOK and EURSEK to both end the year at 11.40. While this implies the NOKSEK cross remaining at parity through to year end, the risks are skewed to NOK outperformance of the SEK.

This is because the Norges Bank remains hawkish. At their May meeting, they highlighted the risks being skewed to a later start to rate cuts than previously assumed. This is consistent with ongoing stickiness in Norwegian inflation, which remains above target-consistent levels. Separately, fundamentals remain constructive for the NOK. The updated fiscal budget for Norway implies that the current low pace of NOK selling, at NOK550mn/day in May, is likely to decelerate further soon (see Fig. 1).

As for the Riksbank, they delivered a 25bp rate cut in May. This was largely expected given that inflation has dropped towards target levels. In this light, the SEK has traded resiliently since the decision. That said, the earlier start to rate cuts and the scope for more easing leaves SEK weakness as the bigger risk for us.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

The Norges Bank left its policy rate unchanged at May's meeting and suggested the risk was to a later start to cuts than previous expectations to begin 'in the autumn'. Meanwhile, inflation in Norway surprised to the upside in April with both headline and core rates declining less than expected.

The Riksbank cut its policy rate by 25bp at May's meeting. Governor Thedeen played down the likelihood of another move in June, but guidance specified the likelihood of two further cuts in H2 2024. Swedish inflation remains weak. The headline rate increased less than expected in April to 2.3% y/y. Looking over the past three and six months, the change in the Riksbank's preferred inflation gauge has been less than target levels on an annualised basis.

FAIR VALUE

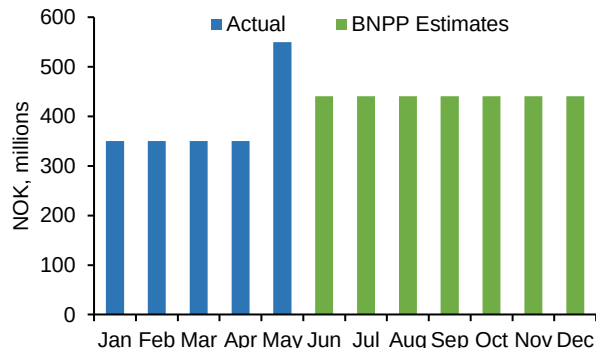
Our medium-term fair-value model BNP Paribas CLEER™ suggests that the NOK is cheap versus the EUR, indicating a fair value of 10.34 by end-2024. Meanwhile, the SEK screens as moderately rich relative to the EUR with EURSEK's fair value indicated at 11.38 by end-2024.

BALANCE OF PAYMENTS

Sweden's current account remained in steady surplus in Q4 2023, although this was partly offset by FDI outflows. The broad basic balance of payments improved to 5.6% of GDP in Q4.

Norway's current account surplus shrank in Q4 2023 as the fall in exports exceeded the decline in imports.

Fig. 1: Pace of NOK selling more likely to fall than to rise



Sources: Macrobond, BNP Paribas

Fig. 2: NOK and SEK forecasts

Forecast	2024*	2025*
EURSEK	11.40	11.20
EURNOK	11.40	11.20
NOKSEK	1.00	1.00
Policy rate SEK (%)**	3.05	2.45
Policy rate NOK (%)**	4.00	3.20

* Year-end forecast **Bloomberg consensus

Sources: Bloomberg, BNP Paribas





CNY: RMB to trade with depreciation bias



FX VIEW

April's Politburo meeting has set a pro-growth policy tone, which was later strengthened by the earlier-than-expected ultra-long-dated CGB initial issuance. Expansionary monetary policy is likely to be included in the pro-growth policy toolkit, in our view. The market now has strong easing expectations, which may lead to higher USDRMB amid excess liquidity. The People's Bank of China continues to deliver above 7.1 fixings. However, no major relaxations have been announced yet. The PBoC is still taking a calibrated approach to RMB depreciation.

We maintain our view that the RMB will probably trade with a depreciation bias in Q2 and Q3 on dividend season, carry, tariff concerns, and China's own growth needs. Recent soft US CPI and retail sales data have eased some concerns about an excessively strong USD. We have lowered our Q2 forecast to 7.3. However, the bar for the Fed to start easing in H1 remains high. We see risks of USDRMB reaching 7.4-7.5, if USDJPY fails to hold 155-160 levels. The rise in USDRMB will probably slow because: pro-growth policies should help to build local confidence and stabilise cross-border flows; China's export competitiveness remains strong, making the RMB much less overvalued in REER terms; finally, the global theme of carry trade continues and the RMB is not too expensive compared to EUR or EM HY.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

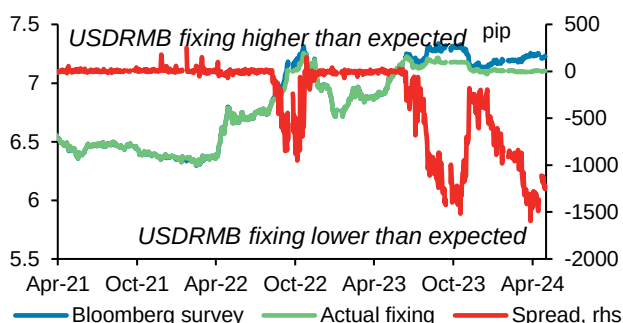
We see a continuous 'volumes up, prices down' trend in consumption from the latest Labor Day holidays data, which suggests a 28.2% increase in tourism trips from the pre-pandemic level but 9.5% decline in per-trip spending compared to 2019. We think China's consumption is improving, but only marginally, with lingering scars for households and intense competition on the supply side. The Politburo meeting on 30 April has a clear pro-growth and pro-reform tone, which makes us more confident that China will achieve the 5% growth target this year. The cyclical recovery in exports and robust manufacturing investment will likely be this year's main growth drivers, in our view, while the property sector will probably remain the biggest drag despite rising policy support.

Against market expectations of a rate cut, the PBoC kept the 1y MLF rate unchanged in May. We think the PBoC's pause might be attributed to its concerns about RMB exchange rate stability. The clear instructions from the Politburo, weak credit demand from the real economy, and relatively high mortgage rates versus rental yield still warrant policy rate cuts, in our view. We still expect the PBoC to cut policy rate and RRR later this year. In addition, we also see chance of an asymmetric cut to 5y LPR to support the property market.

BALANCE OF PAYMENTS

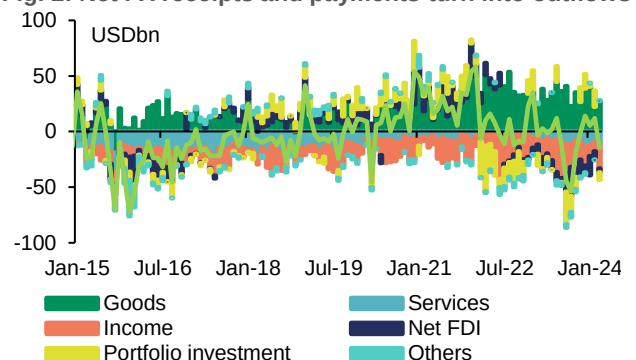
Goods exports rose in March, but the service account deficit widened further. A sharp rise in the primary and secondary income deficit is the main contributor to current account outflows. The upcoming dividend season may prompt greater outflows from the income account. The capital and financial account also turned negative in March. The deficit in net FDI shrank slightly, with FDI to China rising. Foreign interest in China bonds continues to wane with sharp CGB position unwinding (see [China FX & rates tracker: The upcoming PBoC 'QE'](#), dated 16 May), which was largely behind China's portfolio investment account turning into a deficit.

Fig. 1: PBoC regularly delivered above 7.1 fixings but no major relaxations yet



Sources: Bloomberg, BNP Paribas

Fig. 2: Net FX receipts and payments turn into outflows



Sources: Bloomberg, BNP Paribas



KRW: Constructive medium-term outlook



FX VIEW

We remain constructive on KRW over the medium-term, with an improvement in the flows picture, especially given South Korea's potential inclusion in the World Government Bond Index (WGBI), where an announcement may come in September (though there are risks the inclusion could be delayed to Q1 2025). In addition, we see South Korea's fundamentals turning more supportive, given the rising semiconductor prices and export volumes, which should stay supported by AI demand. Together with a pivot from the Fed, moving to cut rates, KRW will likely outperform - we see USDKRW at 1350 by end-2025.

However, the flow picture is unlikely to be supportive in the near term. Search for higher yields abroad continues to support local outflows, including from the National Pension Service, while any inflows are likely FX hedged (see [South Korea: Heavy flows keeps KRW on its toes](#), dated 8 March). Moreover, due to still wide rate differentials and risks of policy divergence from the Fed, RMB depreciation, and some disappointment around the government's Corporate Value-Up program (with limited details and a lack of enforcement), we expect USDKRW to likely rise gradually from current levels over the coming months towards 1380 by end-Q2 (previously we expected a rise to 1410).

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

We raised our 2024 GDP growth forecast to 2.5% after an upside surprise in Q1. We still expect quarterly growth to slow from Q2 due to drop in construction investment and gradual moderation in private consumption. Most speakers during our macro trip attributed the upside surprise to temporary factors, such as weather effect, fiscal spending, and new smartphone model releases (see [South Korea Macro Trip: Conditional on global factors](#), dated 13 May).

Disinflation resumed in April after a two-months pause, as headline CPI cooled to 0.0% m/m and 2.9% y/y. Absent another surge in prices due to supply-side factors, disinflation trajectory of CPI in South Korea remains intact, in our view. Our base case remains for the BoK to start cutting rates in Q3 (likely in August). However, we continue to see higher risks of the BoK preferring a slower pace of rate cuts to avoid untoward side-effects, which may lead to fewer cumulative rate cuts by end-2025.

BALANCE OF PAYMENTS

South Korea's current account remained in surplus for 11 consecutive months, expanding by USD6.9bn in March, after USD6.9bn expansion a month ago, on the back of strong goods surplus. We expect the trend to continue and see risks to our annual current account forecast of USD54bn for 2024 tilted to the upside. Given the recent rise in domestic investors' outbound investments, the significance of offsetting these flows with foreign investment in domestic assets has increased, in our view. Government initiatives, including WGBI and the Corporate Value-Up Program, have become increasingly important, we believe.

EWS

The KRW remains at second risk level, with CDS and ECO signals turned on. The model implies a hedging ratio of 45%. We see downside risks for KRW in the near term, and so hedging long KRW exposure may be warranted.

Fig. 1: Current account balance continued to expand in March

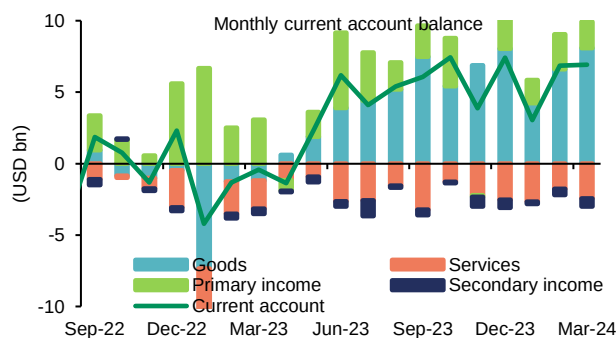
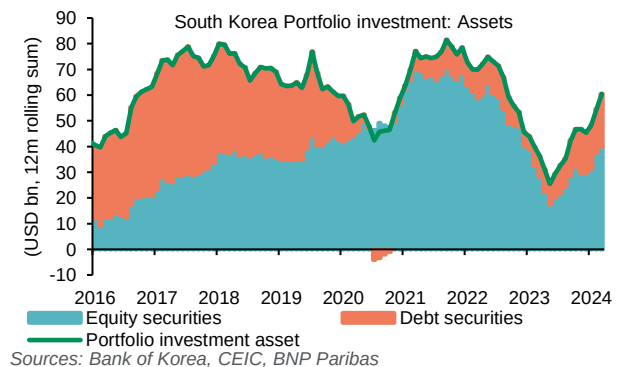


Fig. 2: South Korea's portfolio investments in overseas assets (equity and debt) have increased





SGD and MYR: Policy on hold through 2024



SGD VIEW

The fundamental outlook for SGD remains supportive. Considering still tight labour-market conditions in Singapore and sticky domestic inflation, the Monetary Authority of Singapore will probably leave restrictive policy settings in place through 2024, in our view. In turn, we expect the SGD to remain supported and outperform lower-yielding currencies within the Asia bloc. We estimate SGD NEER to be currently around +169bp above its midpoint.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

With Singapore's advanced Q1 GDP data close to our expectation, we maintain our 2024 real GDP growth forecast at 2.1% y/y. The recent retail sales data point to continued discretionary spending by households, and domestic credit continues to expand. Core inflation is forecast to decline gradually over the course of 2024 but will probably only decelerate discernibly in Q4. In the near term, core inflation will likely remain at around current levels, reflecting the hike in water prices and further expected adjustments in services prices catching up on earlier cost increases. Barring a significant deviation in the inflation or growth outlook, we expect the MAS to keep the SGD NEER policy settings unchanged through 2024. We estimate the SGD NEER slope at 1.5%.



MYR VIEW

MYR has broadly outperformed its peers in Asia over the past month, with USDMYR having declined by almost 2%. Exacerbating the move was probably some reduction of the significant short MYR positioning investors had built (according to our Global FX Positioning Tracker). While we question the sustainability of the recent decline in USD/Asia pairs, we see risk that MYR may continue to outperform some of its lower-yielding Asia peers, especially with the BNM likely to keep policy settings on hold as a gradual recovery unfolds and energy prices likely stay supported in the summer months.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Malaysia's Q1 GDP expanded 4.2% y/y. In seasonally-adjusted terms, the economy expanded 1.4% q/q, reversing the 1.0% contraction in Q4 2023. The strong Q1 GDP should alleviate the urgent need for looser monetary policy stance by the BNM. In April, headline inflation held steady at 1.8% y/y, while core inflation edged higher to 1.9% y/y. The near-term risk to the inflation outlook stems from the diesel subsidy removal. With inflation at a low, we believe the diesel price adjustment is unlikely to materially affect the inflation outlook.

Given the ongoing currency weakness and a higher-for-long Fed outlook, we think that any rate cuts by the BNM will probably need to wait until 2025.

EWS

The MYR remains at first risk level, with CDS signal still turned on, but our EWS model suggests a 0% hedge ratio.

Fig. 1: SG retail sales momentum

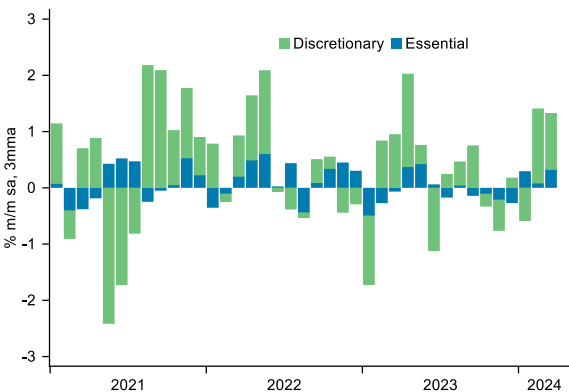
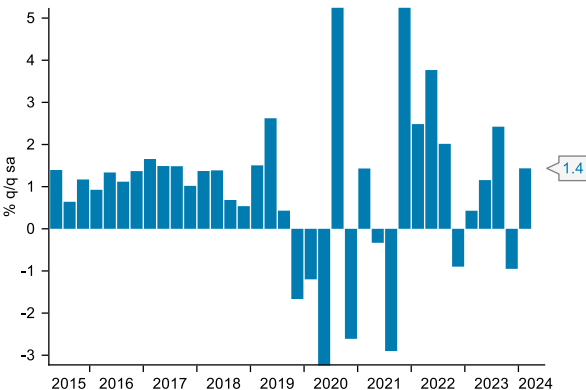


Fig. 2: MY Q1 GDP



Sources: SingStat, Macrobond, BNP Paribas

Sources: DOSM, Macrobond, BNP Paribas



Parisha Saimbi, EM Asia FXLM Strategist | Chris Poh, Economist, APAC | BNP Paribas Singapore Branch



INR and IDR: High yielders to outperform



INR VIEW

We maintain a constructive outlook for INR on continued strong growth prospects, portfolio inflows with India's inclusion into the GBI-EM index and carry advantage. However, we do see some near-term headwinds that could buffet the currency – election results (political analysts in the media suggest a BJP-led NDA coalition may not win as many seats as earlier expected) and dividend season (foreign investors tend to repatriate dividend payments). We see risks that the recent highs (83.50) may be tested again in the coming months but project the pair will outperform the market forwards both this year and the next.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Growth remains resilient in India. In the latest April PMI data, operating conditions in India notched the second-fastest improvement in three-and-a-half years, bolstered by strong demand conditions, which resulted in a further expansion of output, albeit slightly slower than in March. The risks to the inflation outlook is tilted to the upside, in our view, as intensification of the impending heatwaves may push food prices higher. Already in the April data, food and beverage price inflation ticked up to 7.9%, the highest level since December 2023 amid a further rise in cereal price inflation.

Given the solid economic momentum and upside inflation risks, we retain our expectation for rate cuts to begin only in Q4 and forecast a gradual normalisation path for monetary policy.



IDR VIEW

Portfolio outflows and the currency have stabilised in Indonesia after rate hike by the BI last month, slightly cooler US data, and MoF intervention in the JPY. While IDR is a high-yielder, and hence offers carry value, which could help the currency outperform many lower-yielding Asia peers, we expect rate cuts from the Fed are probably needed to drive more sustained inflows into Indonesian assets and will likely be the tipping point for USDIDR to trend lower, and outperform the market forwards. In the near term, we still see risks USDIDR could grind higher with dividend season approaching.

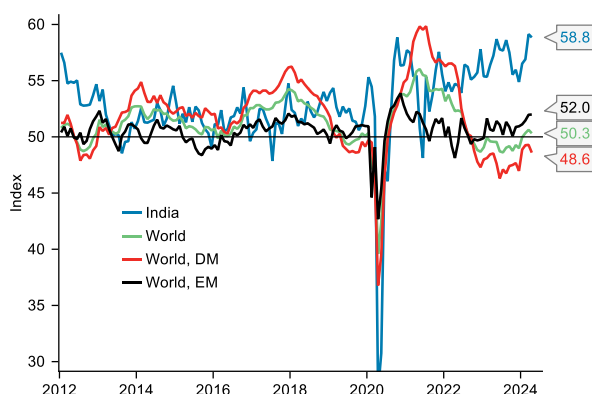
MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

The BI delivered a surprise rate hike in April, the second such hike after the one in October 2023. With the IDR down almost 5% against the USD year-to-date and an explicit IDR stability mandate, the BI had no choice but to supplement its market intervention with a direct policy rate hike. If the USD strengthens further (IDR weakens) substantially and at a rapid pace, another policy rate hike by the BI can't be ruled out, we think. Our view is for the USD to be supported around current levels for the remainder of 2024. Furthermore, the BI has stepped up its auction of SRBI to twice a week (from once a week earlier) to attract more capital inflows. Therefore, in our base case, we don't see further hikes in 2024, and we now see the start of easing cycle in 2025.

EWS

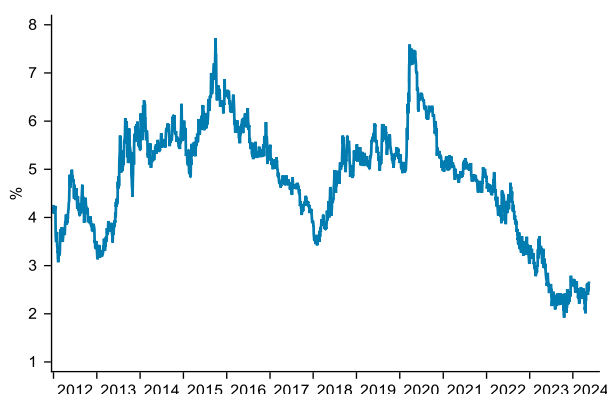
The INR has been downgraded to second risk level, with RSI turning on in addition to the existing ECO signal. IDR has also been downgraded from the lowest risk level to second zone, with ECO and RSI signals turned on.

Fig. 1: India manufacturing PMI



Sources: S&P Global, Macrobond, BNP Paribas

Fig. 2: 10y IndoGB and UST spread



Sources: Macrobond, BNP Paribas



Parisha Saimbi, EM Asia FXLM Strategist | [Chris Poh](#), Economist, APAC | BNP Paribas Singapore Branch



TWD and THB: Carry disadvantage



TWD VIEW

Recent soft US CPI and retail data have helped to ease USD strength, supporting TWD. Meanwhile, Taiwan stocks rebounded to year-to-date highs, potentially attracting foreign inflows. However, the currency faces outflows pressure from summer dividend season. Further weighing on TWD are carry disadvantage and locals still preferring overseas investments. We believe that USDTWD should trade toward 32.8 in Q2 and 33 in Q3.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Taiwan's Q1 GDP expanded 6.5% y/y, accelerating for the fourth consecutive quarter. External demand surged 10.2% y/y in Q1, consistent with the uptrend in Taiwan's exports in the past few months. While sequential growth slowed to 0.3% q/q in Q1 from 2.1% in Q4 2023, we remain optimistic about Taiwan's growth outlook for the rest of the year, as the export upturn should feed into a more positive business investment in the coming quarters.

The below-consensus April CPI data came as a relief, as markets had expected a higher print after a hike in electricity prices. However, cost pressures may come in later in May, given potential lag in the electricity price pass-through. The softer-than-expected April print does put less pressure on the CBC to engage in further monetary policy tightening. For now, we think the risks of a June policy rate hike are low.



THB VIEW

We continue to expect the THB to underperform in the Asia bloc. The economic backdrop is weak, and we still see risks for rate cuts this year. Also, the balance of payments position may remain weak with the seasonal deterioration of trade balance, which may be exacerbated by rising oil prices weighing on Thailand's terms of trade. Furthermore, Thailand is set to see portfolio outflows in light of India's inclusion to the GBI-EM bond index. We see risks USDTHB may retest 37 in the coming months.

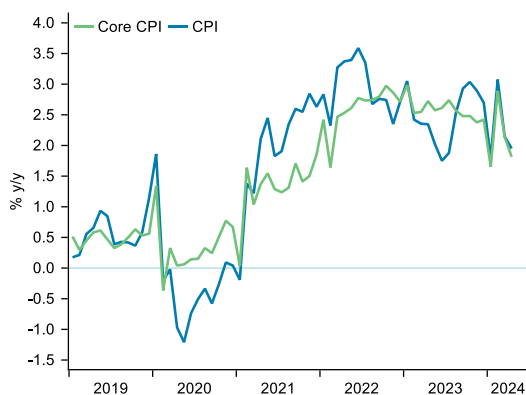
MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Thailand's economy rebounded in Q1, rising 1.5% y/y, exceeding Bloomberg consensus expectations of 0.8% y/y. In seasonally-adjusted terms, GDP expanded 1.1% q/q, more than reversing Q4 2023's 0.6% q/q contraction. Despite the upside surprise, we think growth for 2024 will probably remain below the economy's trend growth of 3-3.5%, leaving the economy with plenty of spare capacity. With inflation set to remain low, we think there is considerable policy headroom for a mid-cycle adjustment. Therefore, we think our call for two policy rate cuts this year remains justified (see [Thailand: Q1 GDP surprise raises risk of BoT staying hawkish](#), dated 20 May).

EWS

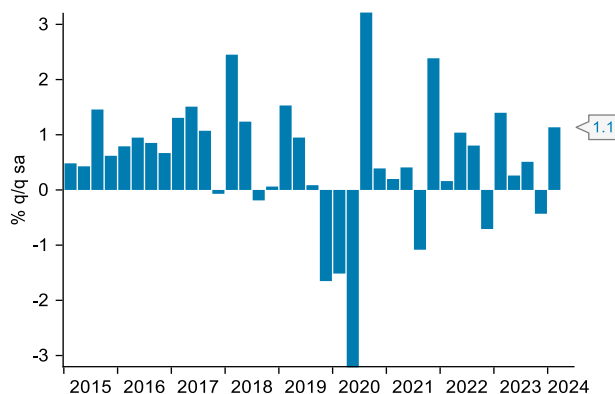
The THB has been downgraded to second risk level, with RSI signal turning on in addition to the existing ECO signal. Our EWS model implies a 45% hedging ratio, which we think is warranted, given the deteriorating economic backdrop and scope for policy divergence.

Fig. 1: Taiwan inflation



Sources: DGBAS, Macrobond, BNP Paribas

Fig. 2: Thailand GDP growth



Sources: NESDC, Macrobond, BNP Paribas



PLN and TRY: Staying long PLN, TRY REER higher



PLN VIEW

EURPLN has traded towards 4.25, which is our forecast for the pair for Q3 2024 and beyond, as outlined in [Poland: NBP decision may signal move away from dovishness](#), dated 9 November 2023. We believe that the outlook for the PLN remains supportive, but the currency's pace of appreciation may slow towards year end as investors might be less inclined to add to long positions at these levels.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Following a pause in the cutting cycle at the November 2023 meeting, the NBP's focus shifted to this year's inflation rebound. After the government reintroduced food VAT from April and passed the energy bill addressing administrative price measures in May, we gained greater clarity on the strength of this.

Our initial assumptions of headline inflation increasing to a peak around 5.5% in October remain valid, and we expect the gradual deceleration in core inflation to continue in coming months, potentially resulting in slightly sub-4% core inflation during the summer. This outlook should enable the NBP to resume cuts at the November meeting, when we will receive new inflation forecasts. In the meantime, a patient NBP should continue to support the PLN.



TRY VIEW

We think the TRY offers an appealing carry opportunity as we maintain our end-24 USDTRY forecast at 36 and project inflation at 40% by then, which translates to almost 20% appreciation in real terms. With this bullish backdrop, we also like long TURKGBs outright, which offers both currency and carry exposure (see [Long 2y TURKGB outright](#), dated 3 May).

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

The CBRT remains steadfastly committed to the fight against inflation, as shown by the additional 500bp hike in March along with other macroprudential measures. Consequently, the spot market is now trading more in two-way fashion, and with better current account seasonality over coming months, we expect TRY-supportive price action to continue.

With an improved outlook, investor interest is increasing, as evidenced by significantly lower forward points. While crowded positioning may pose a risk to the TRY, we still believe the outlook will become more supportive for the currency due to the aforementioned current account seasonality.

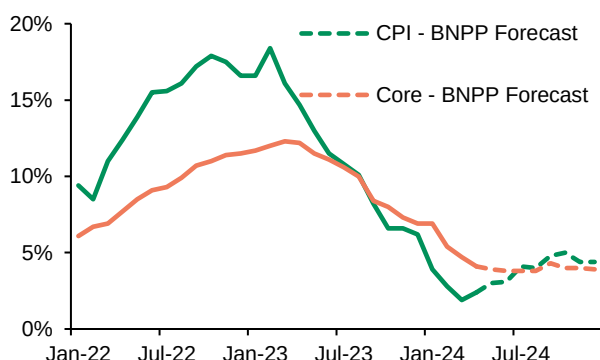
BALANCE OF PAYMENTS

Turkey's current account seasonality has already begun improving in May and trade balance data show further signs of rebalancing in external accounts, which should support the TRY.

EWS

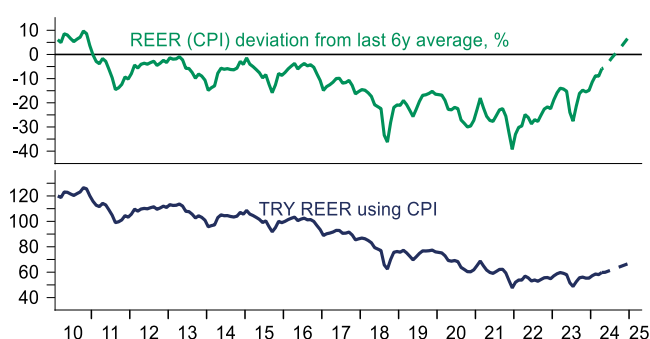
The EWS score for the PLN remains at level 1 with an implied hedge ratio of 0%.

Fig. 1: Poland inflation outlook in 2024



Sources: Macrobond, BNP Paribas

Fig. 2: Turkey REER, calculated using CPI



Sources: Macrobond, BNP Paribas



Jędrzej Głównia CFA, FX and Rates Strategist | Burak Baskurt, CFA, Chief EM Strategist | BNP Paribas London Branch

MARKETS 360 | CORPORATE FX 24/05/2024



CZK and HUF: Easing to undermine FX



CZK VIEW

Market sentiment around CNB policy has recently become increasingly hawkish, bolstering the currency. Our FX Positioning Tracker indicates that systematic accounts have amassed significant CZK short positions. The unwinding of these positions presents a possible additional boost for the koruna. We believe it remains quite probable the CNB will aim to preserve its dovish stance – but the anticipated start of the ECB's rate-cutting cycle in June could counter-balance the outlook for the koruna.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

The focus of Czech central bankers, much like their CE3 counterparts, remains on a possible year-end inflation rebound. April inflation figures revealed a robust increase in food prices, which had been running well below European levels and contributing significantly to the overall disinflation trend. Following this data, it appears the inflation rate may be heading back above 3%, in line with our forecast. We anticipate inflation uncertainty towards the end of the year will compel the CNB to decelerate its cutting cycle, but only after the June meeting. However, we still expect more cuts than the market predicts for next year, bringing the policy rate down to 2.75% by the end of 2025.

BALANCE OF PAYMENTS

Despite robust current account data for March, we believe there are reasons to suggest a cyclical peak is near in trade balance performance. This is primarily due to expectations of a rebound in imports. We attribute the strength of the March data to ongoing destocking and weak investment demand.



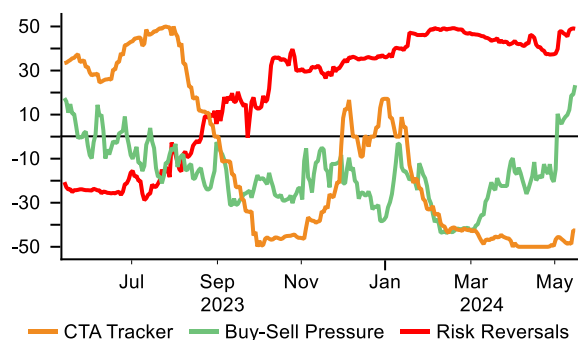
HUF VIEW

A slowdown in the "new phase" of the NBH's cutting cycle should maintain the forint's support into year-end, provided political headline risk remains quiet. Higher FX to inflation pass-through rates than in the past mean currency stability has become increasingly important for policy makers, who will also consider forint levels in their decision making.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

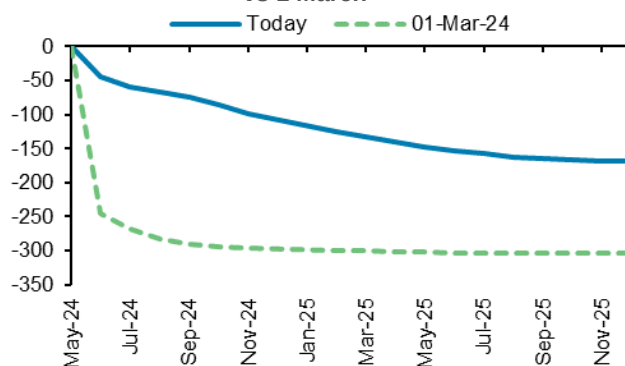
The rebound in inflation as the year progresses has direct implications for the policy rate path. NBH Deputy Governor Barnabas Virag has stressed the importance of maintaining positive real rates in recent speeches. After recent months showing an inflation plateau just below 4%, the slowdown in the cutting cycle should provide policy makers with enough room to achieve the positive real rate objective. We predict headline inflation to rebound to around 5% by December, marking a new peak, before slowing in 2025. Our policy rate forecasts see the rate at 6% by the end of this year, aligning with recent market pricing following the re-evaluation of aggressive cuts for 2024. We see a large potential market mispricing compared to our forecasts for next year. We think inflation projections for 2025 will allow the NBH to continue its easing cycle, cutting the policy rate to 4%, about 170bp below current market pricing.

Fig. 1: CTAs remain short CZK according to BNPP FX Positioning Tracker



Sources: Bloomberg, Macrobond, BNP Paribas

Fig. 2: Change in HUF 3m FRA curve pricing vs 1 March



Source: BNP Paribas



Jedrzej Glowina CFA, FX and Rates Strategist | BNP Paribas London Branch



ZAR & ILS: Election and geopolitics in focus



ZAR VIEW

Two weeks into the most contested general election in South Africa's democratic history (see [South Africa election tracker](#), 11 April), USDZAR is trading at its lowest year-to-date levels. The widely anticipated Ipsos opinion poll showed higher voting intentions for the ruling ANC than previous polls and a lower score for the hard-left EFF party, which is perceived as posing the greatest risks to local assets due to its unorthodox policy proposals. With so much uncertainty surrounding the election, the rand's outcome appears clearly binary. At the current spot level, we believe the risks lean towards a weaker currency.

Beyond the election, assuming other factors remain constant, we think the outlook for the rand can improve, and we do not expect the currency to return to levels above 19.0. Attractive valuations, high interest rates, and a vigilant central bank should provide relief for the currency once political uncertainty subsides.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

Given the election focus in the near term, monetary policy has taken a back seat recently. However, over the coming few months, we believe the focus will gradually shift back to the SARB's next move. Core and headline inflation continue to hover around 5% at the upper range of the central bank's 3–6% target range. We maintain our view that there is scope for downside risks to the SARB's inflation estimates, which are still too pessimistic, in our opinion. This leaves the door open for the central bank to begin a gradual cutting cycle from 18 July. We continue to anticipate three 25bp cuts in 2024, followed by a final cumulative 50bp of cuts in Q1 2025, ending the cutting cycle at a terminal 7.00%.



ILS VIEW

USDILS has settled within a 3.6–3.8 range, below the levels during the initial weeks of the current Gaza conflict. We believe that any sustained break lower from this range would necessitate a narrowing of country risk premium, which might take several months to materialise. Meanwhile, we maintain a neutral stance.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

CPI data for April showed a year-on-year increase of 2.8%, indicating an acceleration from the previous month and surpassing market consensus expectations. The initial Q1 GDP estimate aligned broadly with economists' forecasts. Given this data mix and the central bank's focus on inflation, we think that the Bol can exercise patience before pursuing monetary easing.

EWS

The ZAR remains the only currency in the 'no risk' zone of our EWS model, with no components showing a risk signal this month again. However, given the political uncertainty flagged above, hedging long ZAR exposure is warranted, in our view.

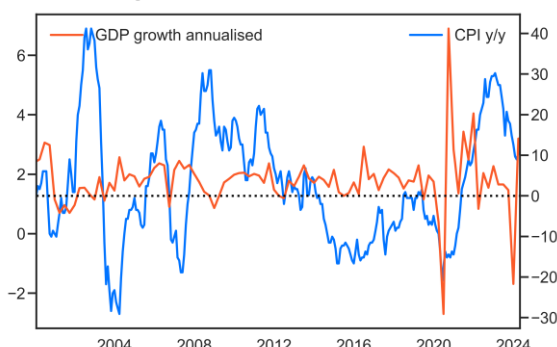
The ILS has shifted back to the first zone signal after the RSI signal turned on. As the signal was triggered in October 2023, the current hedging ratio for next month remains at 45%.

Fig. 1: ZAR long positioning close to extremes ahead of the elections



Sources: Macrobond, BNP Paribas

Fig. 2: Israel's CPI and GDP (%)



Source: Bloomberg, BNP Paribas





BRL: Sentiment remains bearish



FX VIEW

We keep a neutral stance on the BRL as the currency will continue to face opposing forces in the coming weeks. On the positive side, the BRL will still benefit from a robust external sector (although the trade balance has decelerated at the margin over the past month), while the market is preparing for the BCB to halt its easing cycle soon (avoiding further carry erosion). However, on the negative side, the BRL's poor performance reflects a) negative sentiment coming from the worsening fiscal outlook, b) a carry-to-vol ratio below peers such as Mexico and Colombia (this is unlikely to change even if the BCB does stop easing soon), and c) uncertainty regarding the monetary policy outlook once BCB Governor Campos Neto steps down at the end of 2024.

Probably the most material factor affecting BRL sentiment was the change to the 2025 primary deficit target (to 0% of GDP from +0.5%). Modifying this target without laying out a clear path to achieve it could be perceived as an early concession that the medium-term goals of the fiscal framework are in doubt. The market would have expected some resistance before an outright surrender and now probably anticipates further deterioration of the targets.

Overall, we expect the BRL to continue to underperform peers on the back of the embedded fiscal premium. Reduced fiscal uncertainty is a necessary condition for the currency to outpace peers and break the 5.0 level on the downside on a sustained basis, in our view.

MACROECONOMIC FUNDAMENTALS AND MONETARY POLICY

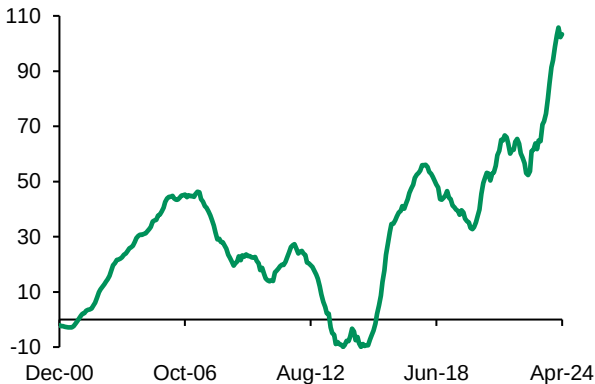
The BCB lowered the Selic rate by 25bp in May, as expected. However, the decision was split as four officials appointed by the current government favored a more aggressive 50bp move while the other five voted for 25bp.

Our forecast indicates two additional 25bp cuts in June and July, with the terminal Selic rate expected to reach 10.0% (see [Brazil monetary policy: Dovish vote, hawkish tone](#), dated 9 May).

EWS SIGNALS

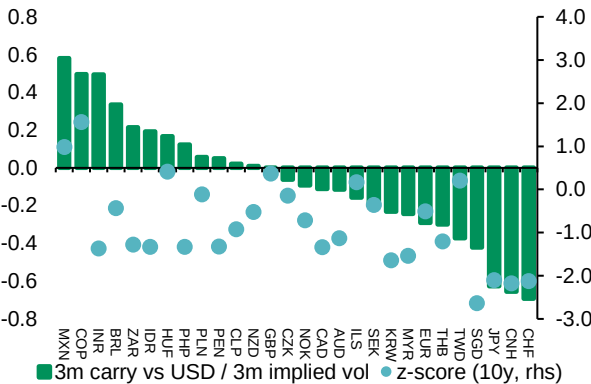
The BRL's risk rating remained at the second risk level, with the CDS and RSI signals switched on.

Fig. 1: Brazil's one-year rolling sum trade balance (USDbn)



Sources: Bloomberg, BNP Paribas

Fig. 2: Carry/vol profile



Sources: Bloomberg, BNP Paribas



Mario Castro, Senior Latam Strategist | Guanchen Xie, Latam Strategist | BNP Paribas Securities Corp



MXN: Tied to the US economy, election, Fed

We are moving to a neutral stance on the MXN from positive following the recent softening of US activity data. In fact, the MXN's performance is heavily dependent on the US cyclical position due to the remittance and trade channels (see [MXN: The fading 'super peso' story](#), dated 9 November 2023). We note that March saw the first negative monthly variation of the 12m sum of remittances flows into Mexico (first monthly decline since 2020). Reaching a firm conclusion based on a single data point is difficult, but slowing remittances growth shows that risks are more neutral now for the MXN as strength in this flow has been a key factor behind the currency's outperformance since 2021.



FX VIEW

We expect negative tail risks to become more acute for the MXN as the end of summer approaches, as the market would become more sensitive to the evolution of the US presidential campaign. The currency will likely incorporate some premium overall, especially if rhetoric emerges threatening the trade and remittances flows status quo. By contrast, we expect Mexican elections in June (for the president, Congress and local governments) to continue to have minimal market impact. This is because investors are already pricing in a continued status quo and any deviation from this, though unlikely, would probably have a favorable effect on markets (see [Mexico: MXN-positive skew to local election risk](#), dated 12 February).

MACRECONOMIC FUNDAMENTALS AND MONETARY POLICY

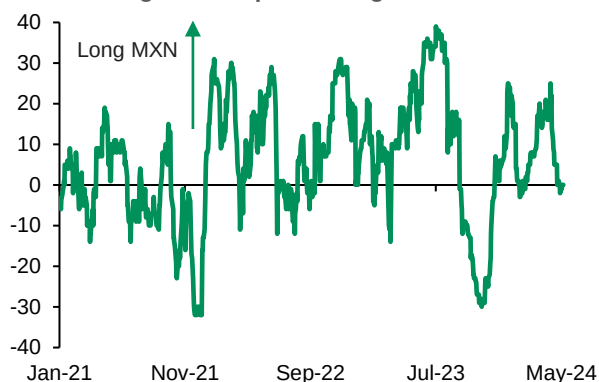
Banxico held its policy rate at 11.00% at May's meeting with a unanimous vote. The pause was accompanied by an upward revision to inflation estimates (0.4pp for H2 2024 headline inflation) and a delay in the inflation convergence timeframe (to Q4 2025 from Q2 2025).

We maintain our expectation for a year-end policy rate of 9.75% (see [Banxico: Policy pause raises questions around cutting outlook](#), dated 9 May).

EWS SIGNALS

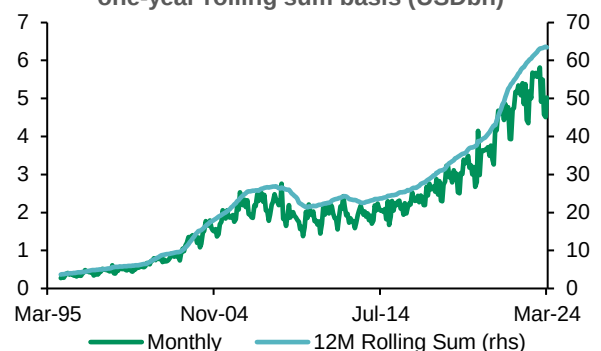
The MXN has been downgraded from the first risk level to the second risk level, due to the worsening credit risk.

Fig. 1: MXN positioning tracker



Sources: Bloomberg, BNP Paribas

Fig. 2: Remittances flow decreased m/m on a one-year rolling sum basis (USDbn)

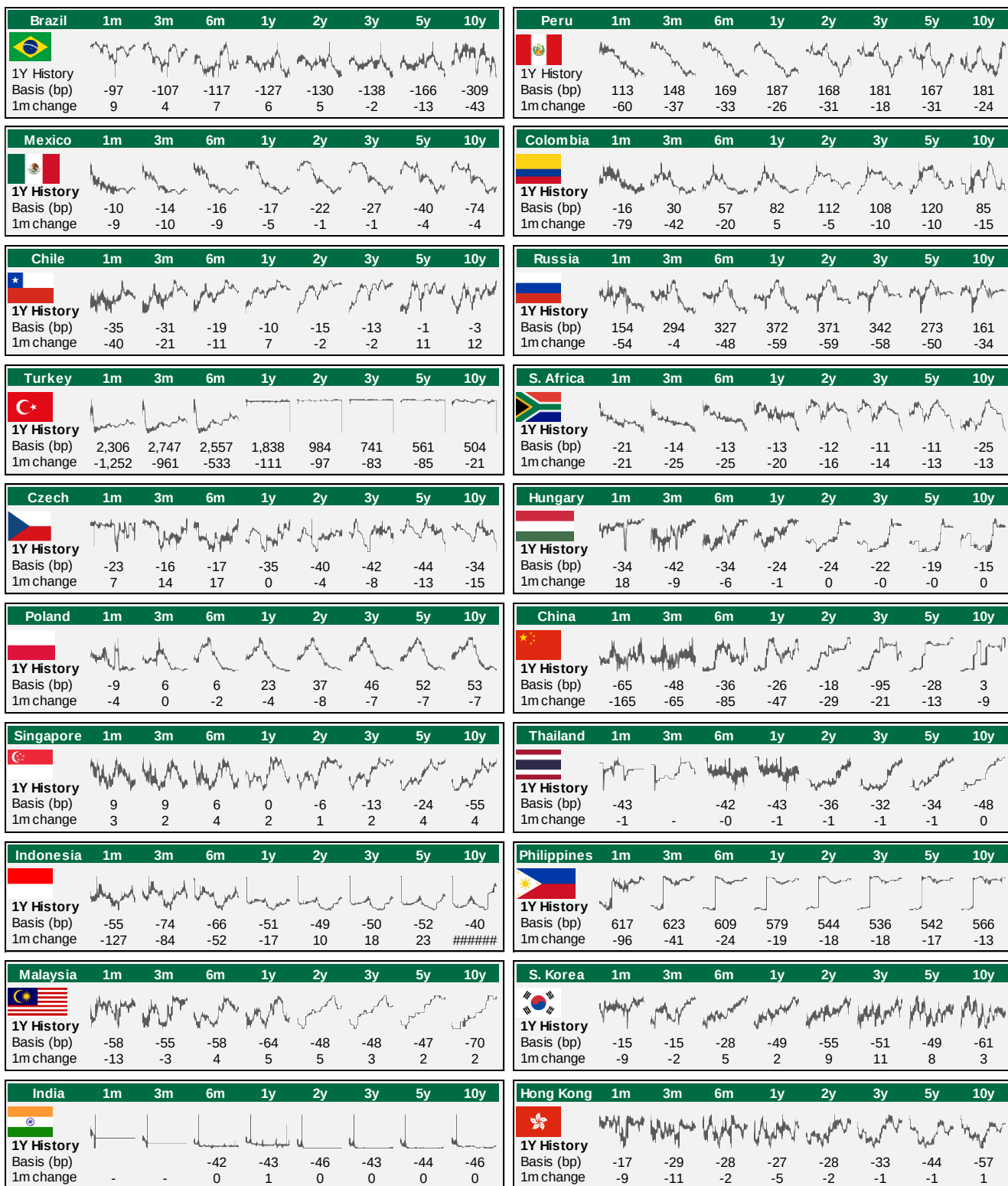


Sources: Bloomberg, BNP Paribas



Emerging markets: Xccy basis monitor

We have updated our xccy basis monitor. For the full methodology, see [EM Xccy basis monitor: Latam rocks!](#), dated 24 July 2019.



Source: BNP Paribas



Mario Castro, Senior Latam Strategist | BNP Paribas Securities Corp

USD rates: Fed to cut cautiously with limited depth

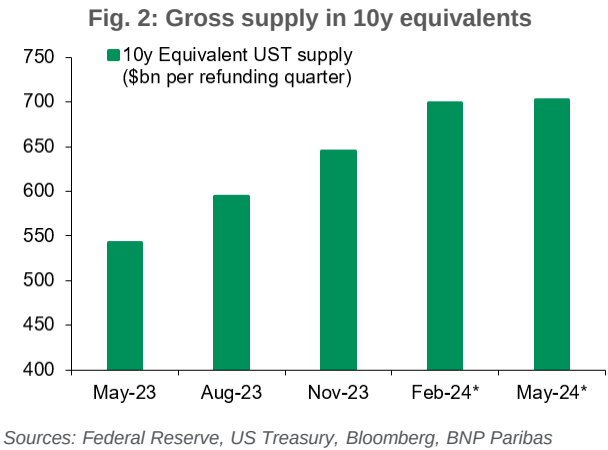
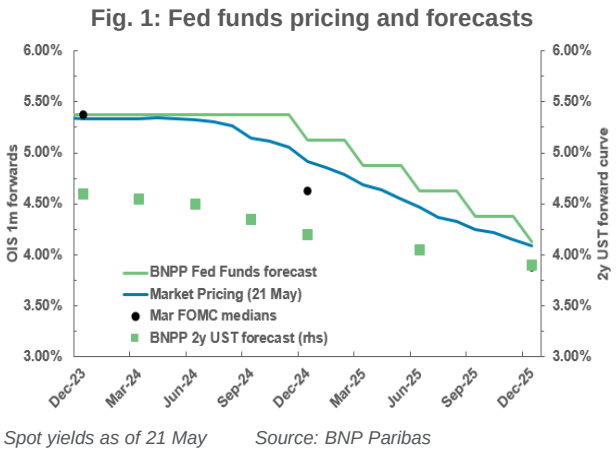
Gradual disinflation trend still points to fewer Fed rate cuts: Strong US growth momentum and the stall in the disinflation path over Q1 have started to turn the other way. Following the May FOMC meeting, Fed Chair Powell hinted at a softening labor market due to lower job openings and decreased labor market survey confidence followed by a soft April payrolls print. This bolstered the idea of a Fed that wanted to retain an easing bias and keep the door closed on rate hikes, but the path to disinflation still looked uncertain. Now April CPI has printed softer than expected. As a result, Fed officials are likely to turn more dovish with peak hawkishness behind us, while other inflation metrics should show welcome news (i.e. core PCE around 0.2% m/m).

However, this is just one month of softer data and should not be used to declare victory. Fed officials have already said rates will need to stay on hold for longer than previously thought, with Governor Waller recently noting that the Fed may need to pause for 3-4 more months.

RATES VIEW

Overall, we expect the Fed to lower rates by 25bp in December with 100bp of cuts next year and more reductions to follow in 2026. So while the curve should ultimately steepen as cuts are realized, nearer term the 5y may be the best performer on the curve as markets gradually price a lower terminal rate while the Fed maintains caution on a premature start to cuts.

Long-end yields sticky in the near-term, data-dependent in the medium-term: From here, the overall US economy still looks healthy against a backdrop of record duration supply to the market. Markets have still demonstrated tolerance for higher rates for a long period with policymakers such as Atlanta Fed President Bostic saying that new steady state rates are likely higher than the last decade. Long-run inflation expectations have also started to tick back up above 3% and the unemployment rate remains below 4%. With growth/inflation data just breaking a string of many months of strong momentum, QT likely to extend into 2025 and a high likelihood that Treasury continues to raise coupon issuance next year, we expect 10y and 30y yields to remain sticky. Specifically, we think 10y rates should fluctuate around a 4.20-4.60% range in the near term.



EUR rates: Range-bound view on yields

Range bound view on yields with risks skewed to the upside: Despite our and the market's view that the ECB will cut rates in June, we continue to refrain from going long duration at current levels. This is due to a variety of factors including: 1) Continued uncertainty on the pace of rate cuts beyond June 2) Risks emanating from term premia repricing higher, noting that June will see a local peak in net supply net of QE/QT, and 3) Signs that the Eurozone economy is rebounding. Our assessment of risks favour us to avoid going long for now, bearing in mind the negative carry on such positions.

Whilst we forecast yields to remain range-bound in the near term and avoid outright duration positions, we do see cross-market opportunities. We have recently entered a long 10y US vs EUR spread compression trade. The recent signs of convergence in US and eurozone growth and activity data underpin our rationale, alongside the factors mentioned above regarding risks to higher European yields. For more, see [DM rates: Time to revisit the cross-Atlantic spread](#), dated 15 May.

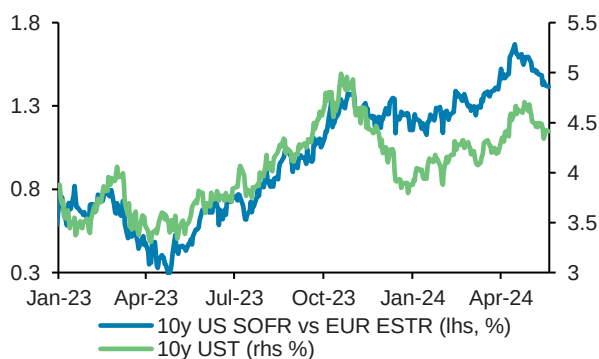
RATES VIEW

Still cautious on curve steepeners: Given our view of a relatively shallow cutting cycle that is priced in by the market, we would still avoid carry intensive 2s10s steepeners in the near-term. We have closed our 5s10s steepeners in BTPs and OATs. In contrast, we continue to like EUR 10s30s forward starting steepeners as a structural view.

Risk of wider EGB spreads heading into June: Not only do we forecast a local peak in EGB net supply net of QE/QT in June, but the start of June will also see European Parliament elections. We think the combination of these two factors could spur some modest spread widening. In our central scenario, we think 10y BTP–Bunds could test 140bp heading into the elections in June but tighten thereafter in a buy-the-rumour-sell-the-fact type of price action. For more on the EP elections, see [European Parliament elections: Policy shift in motion, challenges ahead](#), dated 29 April.

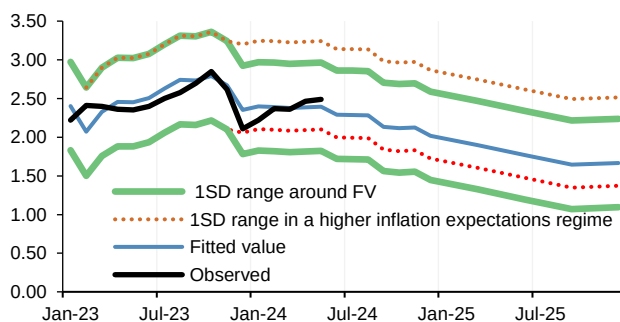
In addition to European elections, there will also be Belgian federal elections in June. Given the richness of Belgium government bonds versus their core/semi-core peers, we have gone short 10y OLO–NETHER as a near-term trade. For more details on the trade idea and our view on EGBs, see [EGBs: Key topics heading into the summer](#), dated 14 May.

Fig. 1: We expect the 10y US vs EUR spread to compress further



Sources: BNP Paribas

Fig. 2: Bund yield projections versus our fair-value model



Inputs include inflation expectations, DFR, spot inflation and liquidity.
Sources: Bloomberg, BNP Paribas



Credit: Carry, dispersion and shallow dips



This Credit section has been prepared by Viktor Hjort and Joao Torres part of the Credit Trading Desk Analyst team who work closely with the Sales and Trading function. This is not a research report and has not been prepared by the BNP Paribas Research department. Please see [disclaimer](#).



CREDIT VIEW

Our view: we are in a credit recovery with low volatility, high dispersion and shallow dips. Portfolio strategy should be about earning carry, rotating sectors and credits, and buying dips. We are bullish up to the point where Central Banks would consider hiking rates again, although see scope for more de-risking tactically. We think high rates mean deleveraging: Buy \$ IG Healthcare, € IG high-quality REITs, EM HY. For carry we like \$ IG 3-7y and BB loans. For more details, read [here](#).

Source of returns in a credit recovery

Earn carry. Credit recoveries are the least volatile regimes during a credit cycle and the current trend fits that perfectly (fig. 1.1). The right benchmark for today is 2017, 2019, or the first half of 2021. Low-duration/high-carry assets should perform well, e.g. the 3-7-year part of the IG curve and high-quality leveraged loans.

Rotate portfolios. Credit recoveries are non-volatile at the market level but not at the asset or single-credit level. Dispersion, adjusted for the level of index spreads, is typically very high (fig. 1.2) which means that there's more performance to be had from identifying outperforming sectors or credit themes. One rotation theme we think has legs is deleveraging: high rates for longer will create an incentive for some borrowers to deleverage, however, rates are already too high for some too leveraged companies: the level of distress is unusually high (fig. 1.3), higher than what you'd expect in a downturn.

Buy the dips. The recent rise in geopolitical risk did contribute to some limited spread widening, but geopolitics tend to have limited impact on markets unless they end up damaging the global economy, which is a high hurdle. Of course, it's almost impossible to understand that risk ahead of the event, which is why there's a fairly consistent pattern for spreads around such events (fig. 2): sell-off before and during the event ('uncertainty'), then rally once the impact is clear ('certainty'). A more immediate source of correction could be rate-risk. The rate market may complete the removal of rate-cuts from which we think would also drive further position unwind in credit. Any rate move short of pricing in rate hikes would be a buying opportunity in our view.

Fig. 1: We're in a credit recovery. What does it mean?

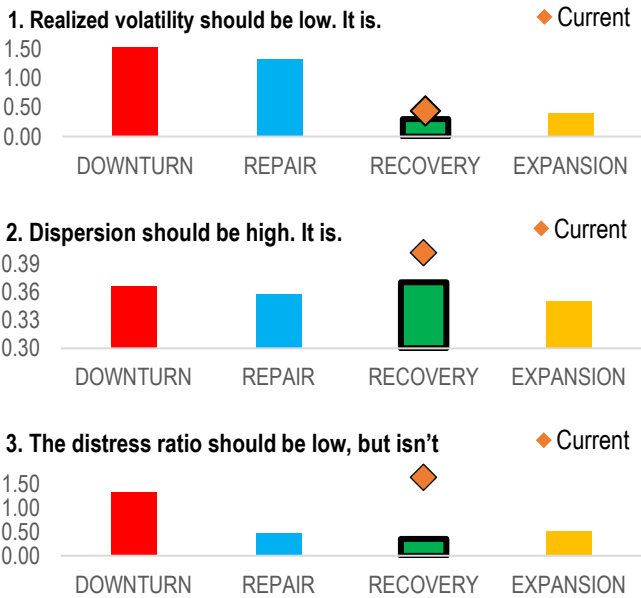
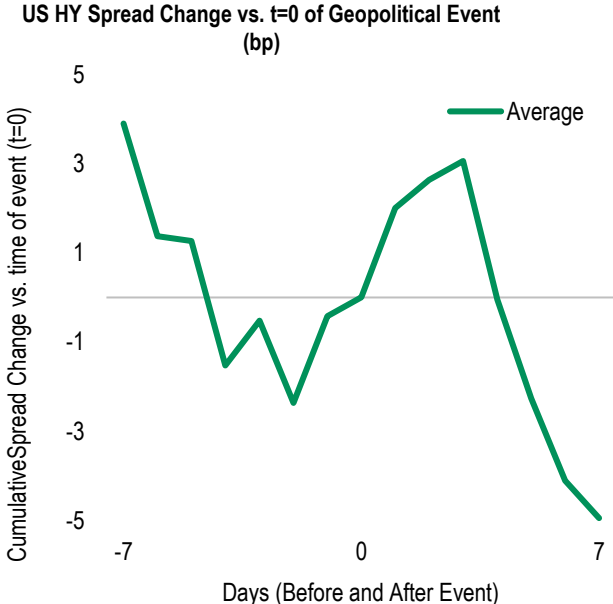


Fig. 2: Geopolitical event risk: the impact is short-term



Note: The BNPP Credit Cycle Indicator is a quantitative characterisation of cyclical credit regimes with typically different market dynamics. Source: BNP Paribas, Bloomberg (BNPCCUS, BNPPCUS, BNPPDUS, BNPPHUS). More details available [here](#). Distress ratio is calculated as share of bonds price trading below 70 normalized by spread levels. Dispersion measure the normalized difference between Q3 and Q1 spreads quartiles. Volatility is calculated as 6m rolling realized spread volatility. Dispersion is calculated for European spreads. Geopolitical event risk chart is based on market performance during 19 Middle-Eastern geopolitical risk events since 2000.



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Joao Torres, Senior European Credit Strategist | BNP Paribas London Branch

Early Warning Signals: Emerging markets

What has changed?

Overview: EM currency risk has generally worsened since the last update, with seven currencies downgraded and no currency upgraded.

The ECO signal is now on for 12 currencies, while the CDS and the RSI signals are both on for eight currencies.

The ZAR remains in the lowest risk zone while no currency is in the highest risk zone.

Methodology¹: An Early Warning Signals (EWS) methodology was developed by our Macro Quantitative Strategy team to assess the risk of currency crises in emerging markets (EM). It covers 18 EM currencies. Please see the [introductory document](#) for further details.

Emerging market currencies

	BRL	ZAR	MXN	PLN	IDR	MYR	THB	ARS	CZK	HUF	KRW	RON	CLP	COP	PHP	ILS	INR	EGP
0																		
1			ECO	ECO		CDS	ECO		ECO	ECO		ECO	ECO	ECO	ECO	RSI	ECO	
2	CDS, RSI		CDS, ECO		ECO, RSI		ECO, RSI	CDS, ECO			CDS, RSI		CDS, ECO	CDS, ECO	ECO, RSI		ECO, RSI	CDS, RSI
3																		
Next month hedge	0%	0%	0%	0%	0%	0%	45%	0%	0%	45%	45%	0%	73%	45%	0%	45%	0%	0%

Source: BNP Paribas

Since our last update:

Downgrades: 7
Upgrades: 0
Currencies in high risk-zone: 0

EM currency risk has generally worsened since the last update, according to our EWS model, with seven currencies downgraded and no currency upgraded.

Local market conditions played a role in five of the seven downgrades, with the signal now on for eight currencies, up from one in the last update. There has also been a rotation from heightened economic risk to worsening local market conditions, with the former turning off and the latter turning on for the KRW and the EGP. As the CDS signal remained on, the two currencies remain at the second risk level.

The CDS signal is now on for eight currencies, up from six in the last update, while the ECO signal is on for 12 currencies, down from 13 since the last update.

The PHP, THB and INR have been downgraded from the first risk level to the second one due to worsening local market conditions; for the same reason, the ILS has been downgraded from the lowest risk zone to the first risk level.

The IDR has been downgraded from the lowest risk level to the second zone due to worsening economic and local market conditions.

The MXN and the CLP have been downgraded from the first risk level to the second risk level due to worsening credit risk.

The grades of all other currencies remain unchanged.

¹ The methodology employs three signals: (a) change of regime in CDS, attempting to look for devaluation when the probability distribution of CDS returns worsens; (b) relative strength indicator (RSI) for local market equities, foreign exchange (FX) and CDS collectively; and (c) economic signals based on several macroeconomic inputs. For the ZAR, RUB, CLP, COP and UAH, we also take into account the value of the main commodity exported by the country and the signal that is triggered if either the equity index or the commodity weakens, in addition to the other RSI indicators. For more details, please refer to the [introductory document](#) or find our contact details below.



Volatility monitor

ATM volatility						Risk premium*						25d Risk reversal					
USD bloc	1M	3M	6M	1Y	2Y	USD bloc	1M	3M	6M	1Y	2Y	USD bloc	1M	3M	6M	1Y	2Y
EURUSD	5.36	5.44	6.03	6.24	6.60	EURUSD	0.08	0.13	0.04	-0.14	-1.96	EURUSD	-0.22	-0.38	-0.58	-0.82	-0.80
USDJPY	8.44	8.60	9.05	8.96	8.66	USDJPY	-3.42	0.35	0.13	0.60	-1.90	USDJPY	-1.12	-0.95	-0.69	-0.37	-0.13
USDCHF	6.16	5.96	6.49	6.63	6.93	USDCHF	0.11	-0.57	-1.10	-0.84	-1.99	USDCHF	-0.08	-0.13	-0.19	-0.25	-0.33
GBPUSD	6.00	6.34	6.94	7.21	7.62	GBPUSD	0.08	0.47	0.34	0.11	-2.66	GBPUSD	-0.25	-0.48	-0.72	-0.97	-1.05
USDCAD	5.09	5.03	5.49	5.56	5.78	USDCAD	-0.01	-0.02	0.24	0.07	-1.18	USDCAD	0.29	0.36	0.47	0.60	0.65
AUDUSD	8.42	8.49	9.08	9.20	9.37	AUDUSD	-0.44	0.22	0.20	-0.35	-2.37	AUDUSD	-0.59	-0.77	-1.00	-1.24	-1.36
NZDUSD	8.57	8.67	9.19	9.30	9.55	NZDUSD	-0.39	0.30	-0.06	-0.52	-2.49	NZDUSD	-0.52	-0.65	-0.87	-1.08	-1.22
USDSEK	8.59	8.96	9.78	10.06	10.35	USDSEK	-1.29	-0.80	-0.79	-1.18	-2.31	USDSEK	0.46	0.58	0.92	1.33	1.35
USDNOK	9.11	9.42	10.38	10.65	10.94	USDNOK	-0.33	-0.49	-0.63	-1.55	-3.23	USDNOK	0.56	0.77	1.06	1.41	1.47

EUR bloc	1M	3M	6M	1Y	2Y	EUR bloc	1M	3M	6M	1Y	2Y	EUR bloc	1M	3M	6M	1Y	2Y
EURJPY	7.82	8.22	8.68	8.90	9.09	EURJPY	-3.01	0.21	0.65	1.11	-0.75	EURJPY	-1.20	-1.25	-1.20	-1.17	-1.31
EURGBP	3.72	4.19	4.56	5.01	5.43	EURGBP	0.41	0.90	0.59	0.64	-1.08	EURGBP	0.18	0.34	0.44	0.60	0.83
EURCHF	4.88	4.76	5.04	5.26	5.51	EURCHF	0.77	-0.35	-0.43	0.06	-1.00	EURCHF	-0.16	-0.27	-0.41	-0.54	-0.59
EURSEK	5.23	5.65	6.02	6.26	6.47	EURSEK	-1.39	-0.77	-1.00	-1.30	-1.04	EURSEK	0.36	0.48	0.59	0.69	0.70
EURNOK	6.00	6.42	7.00	7.43	7.57	EURNOK	-0.45	-0.71	-1.03	-1.61	-2.09	EURNOK	0.32	0.47	0.66	0.90	1.03

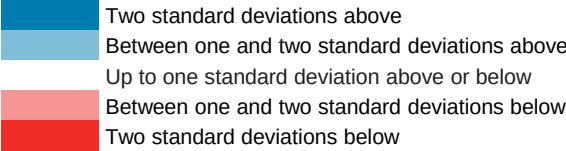
CEEMEA	1M	3M	6M	1Y	2Y	CEEMEA	1M	3M	6M	1Y	2Y	CEEMEA	1M	3M	6M	1Y	2Y
USDPLN	7.83	8.23	9.05	9.44	9.67	USDPLN	-0.39	0.06	0.00	-0.63	-2.32	USDPLN	1.03	1.27	1.53	1.88	1.93
EURPLN	4.78	5.01	5.41	5.70	5.78	EURPLN	-0.13	-0.25	-0.23	-1.12	-1.29	EURPLN	0.67	0.87	1.09	1.31	1.40
EURCZK	3.87	3.84	3.88	3.89	3.97	EURCZK	-1.57	-0.80	-1.22	-1.25	-0.80	EURCZK	0.25	0.36	0.47	0.60	0.71
EURHUF	5.06	5.45	5.98	6.41	6.62	EURHUF	0.40	-0.71	-0.43	-1.66	-4.44	EURHUF	0.82	1.09	1.34	1.62	1.67
USDZAR	14.61	13.72	14.15	14.44	14.82	USDZAR	3.87	2.57	1.85	1.19	0.47	USDZAR	2.42	2.18	2.09	2.06	2.10

Asia bloc	1M	3M	6M	1Y	2Y	Asia bloc	1M	3M	6M	1Y	2Y	Asia bloc	1M	3M	6M	1Y	2Y
USDSGD	3.89	3.95	4.37	4.45	4.65	USDSGD	0.02	0.30	0.30	0.19	-0.47	USDSGD	0.12	0.24	0.38	0.49	0.52
USDMYR	5.99	6.46	7.44	8.08	8.58	USDMYR	2.19	2.40	2.84	3.02	3.47	USDMYR	2.29	2.74	2.97	3.41	3.94
USDIDR	5.42	6.11	7.09	7.76	8.18	USDIDR	0.83	-0.11	1.42	2.28	2.57	USDIDR	0.41	0.76	1.09	1.26	1.52
USDTHB	7.43	7.56	8.20	8.31	8.60	USDTHB	0.58	0.56	-0.09	0.06	-0.24	USDTHB	0.35	0.49	0.67	0.85	0.85
USDPHP	5.55	5.43	5.84	5.81	6.05	USDPHP	0.32	0.80	1.21	1.19	0.22	USDPHP	0.56	0.65	0.70	0.82	0.87
USDHKD	1.14	1.11	1.07	1.10	1.53	USDHKD	0.31	0.49	0.29	0.24	0.61	USDHKD	-0.61	-0.55	-0.60	-0.63	-0.63
USDCNH	3.22	3.79	4.98	5.73	6.21	USDCNH	0.19	0.96	1.59	1.57	0.38	USDCNH	-0.31	0.02	0.40	0.62	0.82
USDTWD	5.21	5.72	6.65	7.10	7.68	USDTWD	1.42	1.84	2.06	2.72	3.05	USDTWD	-0.43	-0.13	0.28	0.57	0.63
USDKRW	7.94	8.01	8.56	8.60	8.98	USDKRW	1.37	0.82	0.54	0.29	-0.38	USDKRW	0.21	0.45	0.86	1.19	1.42
USDINR	2.88	2.89	3.27	3.57	3.98	USDINR	1.82	1.53	1.90	1.66	0.69	USDINR	0.63	0.64	0.65	0.69	0.66

Latam bloc	1M	3M	6M	1Y	2Y	Latam bloc	1M	3M	6M	1Y	2Y	Latam bloc	1M	3M	6M	1Y	2Y
USDBRL	10.37	11.11	12.04	12.41	12.88	USDBRL	-0.39	1.78	2.96	2.41	-0.84	USDBRL	1.92	2.04	2.12	2.29	2.15
USDCLP	14.22	14.29	14.36	14.29	14.82	USDCLP	0.34	0.66	0.92	0.88	-2.70	USDCLP	2.05	2.10	2.30	2.40	2.60
USDMXN	9.39	9.86	11.15	11.43	11.82	USDMXN	-0.40	-0.51	1.42	0.55	0.74	USDMXN	2.58	2.86	3.00	3.07	3.14
USDCOP	11.04	11.46	12.07	12.44	12.69	USDCOP	2.11	1.33	1.43	-0.18	-1.58	USDCOP	1.94	1.97	1.99	2.23	2.41

*Risk premium = ATM implied vol minus realised vol of matching tenor

Shading indicates deviation from 12-month average:



Data as of 23 May 2024.
Sources: Bloomberg, BNP Paribas



Spot				
	Current	1Y Return	1Y Forecast	
USDEUR	0.92	-0.43%	➡	0.20%
USDJPY	156.65	13.11%	⬇	-4.24%
USDGBP	0.79	-2.32%	➡	-2.29%
USDCHF	0.92	1.55%	➡	-0.85%
USDCAD	1.37	1.43%	➡	0.03%
USDNZD	1.64	2.66%	➡	-0.23%
USDAUD	1.51	-0.04%	➡	0.21%
USDNOK	10.71	-2.20%	➡	-2.33%
USDSEK	10.75	1.18%	⬇	-2.64%
USDTRY	32.18	62.08%	⬆	21.61%
USDZAR	18.23	-5.08%	➡	0.09%
USDCZK	22.86	3.91%	⬆	5.31%
USDHUF	357.73	2.54%	⬆	6.12%
USDPLN	3.94	-5.48%	➡	-0.07%
USDSAR	3.75	0.01%		-
USDMXN	16.67	-7.22%	⬆	4.37%
USDBRL	5.16	3.58%	⬆	2.80%
USDCLP	909.50	12.77%	⬆	8.85%
USDINR	83.29	0.58%	➡	0.14%
USDIDR	15992.50	7.48%	↗	1.30%
USDTHB	36.34	4.74%	↗	0.73%
USDTWD	32.27	4.98%	➡	0.10%
USDSGD	1.35	0.22%	➡	-0.58%
USDHKD	7.81	-0.34%	➡	0.05%
USDCNH	7.25	2.64%	↗	0.71%

Carry (% per annum)					
	3M	1Y	2Y	5Y	10Y
USDEUR	-1.7%	-1.7%	-1.7%	-1.6%	-1.5%
USDJPY	-5.6%	-5.1%	-4.6%	-4.0%	-3.6%
USDGBP	-0.2%	-0.2%	-0.2%	-0.2%	-0.3%
USDCHF	-4.3%	-4.0%	-3.7%	-3.2%	-3.1%
USDCAD	-0.7%	-0.7%	-0.7%	-0.6%	-0.5%
USDNZD	0.0%	0.0%	0.0%	0.2%	0.5%
USDAUD	-1.1%	-0.8%	-0.5%	-0.1%	0.4%
USDNOK	-0.9%	-0.8%	-0.7%	-0.6%	-0.6%
USDSEK	-1.9%	-1.9%	-1.8%	-1.6%	-1.4%
USDTRY	35.2%	40.8%	31.6%	23.5%	18.2%
USDZAR	3.0%	3.1%	3.3%	4.3%	5.7%
USDCZK	-0.5%	-1.0%	-1.1%	-0.9%	-0.7%
USDHUF	1.3%	1.1%	1.1%	1.6%	2.0%
USDPLN	0.4%	0.7%	0.7%	0.9%	1.2%
USDSAR	0.3%	0.2%	0.3%	0.4%	0.4%
USDMXN	6.0%	5.8%	5.5%	5.0%	5.0%
USDBRL	3.6%	3.8%	4.6%	5.9%	6.0%
USDCLP	0.2%	0.2%	0.3%	0.9%	1.2%
USDINR	1.3%	1.7%	2.0%	2.6%	2.6%
USDIDR	0.8%	1.2%	1.4%	2.0%	2.4%
USDTHB	-2.6%	-2.7%	-2.5%	-2.0%	-1.8%
USDTWD	-2.0%	-2.9%	-3.1%	-2.6%	-2.2%
USDSGD	-1.8%	-1.8%	-1.6%	-1.4%	-1.5%
USDHKD	-0.9%	-0.7%	-0.6%	-0.7%	-0.7%
USDCNH	-2.8%	-2.6%	-2.2%	-1.7%	-1.5%

	Value is > 95th percentile of 5y history
	Value is ≤ 95th percentile of 5y history
	Value is ≤ 75th percentile of 5y history
	Value is ≤ 50th percentile of 5y history
	Value is ≤ 25th percentile of 5y history
	Value is ≤ 5th percentile of 5y history

Source: BNP Paribas



Global FX carry monitor: EUR and GBP

EUR									
Spot					Carry (% per annum)				
	Current	1Y Return	1Y Forecast			3M	1Y	2Y	5Y
EURUSD	1.08	0.43%	→	-0.20%	EURUSD	1.7%	1.8%	1.7%	1.6%
EURJPY	169.52	13.60%	↓	-4.44%	EURJPY	-3.9%	-3.3%	-2.9%	-2.4%
EURGBP	0.85	-1.91%	↓	-2.49%	EURGBP	1.5%	1.6%	1.6%	1.4%
EURCHF	0.99	1.98%	→	-1.05%	EURCHF	-2.5%	-2.2%	-2.0%	-1.6%
EURCAD	1.48	1.86%	→	-0.17%	EURCAD	1.0%	1.0%	1.0%	1.0%
EURNZD	1.78	3.10%	→	-0.43%	EURNZD	1.7%	1.8%	1.7%	1.8%
EURAUD	1.64	0.39%	→	0.01%	EURAUD	0.6%	1.0%	1.2%	1.6%
EURNOK	11.59	-1.78%	↓	-2.53%	EURNOK	0.8%	1.0%	1.0%	1.0%
EURSEK	11.63	1.61%	↓	-2.84%	EURSEK	-0.1%	-0.1%	-0.1%	0.0%
EURTRY	34.83	62.77%	↑	21.37%	EURTRY	36.9%	42.6%	33.3%	25.1%
EURZAR	19.73	-4.67%	→	-0.11%	EURZAR	4.7%	4.9%	5.0%	5.9%
EURCZK	24.74	4.35%	↑	5.09%	EURCZK	1.2%	0.8%	0.7%	0.7%
EURHUF	387.13	2.98%	↑	5.91%	EURHUF	3.0%	2.9%	2.9%	3.2%
EURPLN	4.26	-5.08%	→	-0.28%	EURPLN	2.1%	2.4%	2.4%	2.6%
EURSAR	4.06	0.43%	-	-	EURSAR	2.0%	2.0%	2.0%	2.0%
EURMXN	18.04	-6.83%	↑	4.16%	EURMXN	7.7%	7.6%	7.2%	6.6%
EURBRL	5.58	4.02%	↑	2.59%	EURBRL	5.3%	5.5%	6.4%	7.5%
EURCLP	984.26	13.25%	↑	8.63%	EURCLP	2.0%	1.9%	2.0%	2.5%
EURINR	90.13	1.01%	→	-0.07%	EURINR	3.0%	3.4%	3.8%	4.2%
EURIDR	17307.08	7.94%	→	1.09%	EURIDR	2.5%	2.9%	3.1%	3.6%
EURTHB	39.32	5.19%	→	0.52%	EURTHB	-0.9%	-1.0%	-0.7%	-0.3%
EURTWD	34.92	5.42%	→	-0.11%	EURTWD	-0.3%	-1.1%	-1.4%	-1.0%
EURSGD	1.46	0.64%	→	-0.78%	EURSGD	-0.1%	0.0%	0.1%	0.2%
EURHKD	8.45	0.08%	→	-0.15%	EURHKD	0.8%	1.1%	1.1%	1.0%
EURCNH	7.84	3.08%	→	0.51%	EURCNH	-1.1%	-0.8%	-0.5%	-0.1%

GBP									
Spot					Carry (% per annum)				
	Current	1Y Return	1Y Forecast			3M	1Y	2Y	5Y
GBPUSD	1.27	2.38%	↔	2.34%	GBPUSD	0.2%	0.2%	0.2%	0.2%
GBPEUR	1.17	1.94%	↑	2.55%	GBPEUR	-1.5%	-1.5%	-1.5%	-1.4%
GBPJPY	199.17	15.80%	↑	-2.00%	GBPJPY	-5.4%	-4.9%	-4.5%	-3.8%
GBPCHF	1.16	3.96%	↔	1.47%	GBPCHF	-4.1%	-3.8%	-3.5%	-3.0%
GBPCAD	1.74	3.84%	↔	2.37%	GBPCAD	-0.5%	-0.5%	-0.5%	-0.4%
GBPNZD	2.09	5.10%	↔	2.11%	GBPNZD	0.2%	0.2%	0.1%	0.4%
GBPAUD	1.92	2.34%	↑	2.56%	GBPAUD	-0.9%	-0.6%	-0.4%	0.2%
GBPNOK	13.62	0.13%	→	-0.05%	GBPNOK	-0.7%	-0.6%	-0.6%	-0.4%
GBPSEK	13.66	3.59%	→	-0.37%	GBPSEK	-1.7%	-1.7%	-1.6%	-1.4%
GBPTRY	40.92	65.94%	↑	24.46%	GBPTRY	35.4%	41.0%	31.8%	23.7%
GBPZAR	23.18	-2.82%	↔	2.44%	GBPZAR	3.2%	3.3%	3.5%	4.5%
GBPCZK	29.07	6.38%	↑	7.77%	GBPCZK	-0.3%	-0.8%	-0.9%	-0.7%
GBPHUF	454.83	4.98%	↑	8.61%	GBPHUF	1.5%	1.3%	1.3%	1.8%
GBPPLN	5.01	-3.23%	↔	2.26%	GBPPLN	0.6%	0.9%	0.9%	1.2%
GBPSAR	4.77	2.38%	-	-	GBPSAR	0.5%	0.4%	0.4%	0.6%
GBPMXN	21.20	-5.02%	↑	6.82%	GBPMXN	6.2%	6.0%	5.7%	5.2%
GBPCLP	1156.38	15.45%	↑	11.40%	GBPCLP	3.8%	4.0%	4.8%	6.1%
GBPINR	105.89	2.97%	↔	2.48%	GBPCLP	0.4%	0.4%	0.4%	1.1%
GBPIDR	20333.66	10.03%	↑	3.67%	GBPINR	1.5%	1.9%	2.2%	2.8%
GBPTHB	46.20	7.24%	↑	3.08%	GBPIDR	1.0%	1.4%	1.6%	2.2%
GBPTWD	41.03	7.47%	↔	2.44%	GBPTHB	-2.4%	-2.5%	-2.3%	-1.7%
GBPSGD	1.71	2.60%	↔	1.75%	GBPTWD	-1.8%	-2.7%	-3.0%	-2.4%
GBPHKD	9.92	2.03%	↔	2.40%	GBPSGD	-1.6%	-1.6%	-1.4%	-1.2%
GBPCNH	9.22	5.09%	↑	3.07%	GBPHKD	-0.7%	-0.5%	-0.4%	-0.4%
					GBPCNH	-2.6%	-2.4%	-2.1%	-1.4%

1Y return is the historical 1y return, 1Y forecast is the distance and direction between spot and our 12m ahead forecasts.

- Value is > 95th percentile of 5y history
- Value is ≤ 95th percentile of 5y history
- Value is ≤ 75th percentile of 5y history
- Value is ≤ 50th percentile of 5y history
- Value is ≤ 25th percentile of 5y history
- Value is ≤ 5th percentile of 5y history

Data as of 22 May 2024.
Source: BNP Paribas

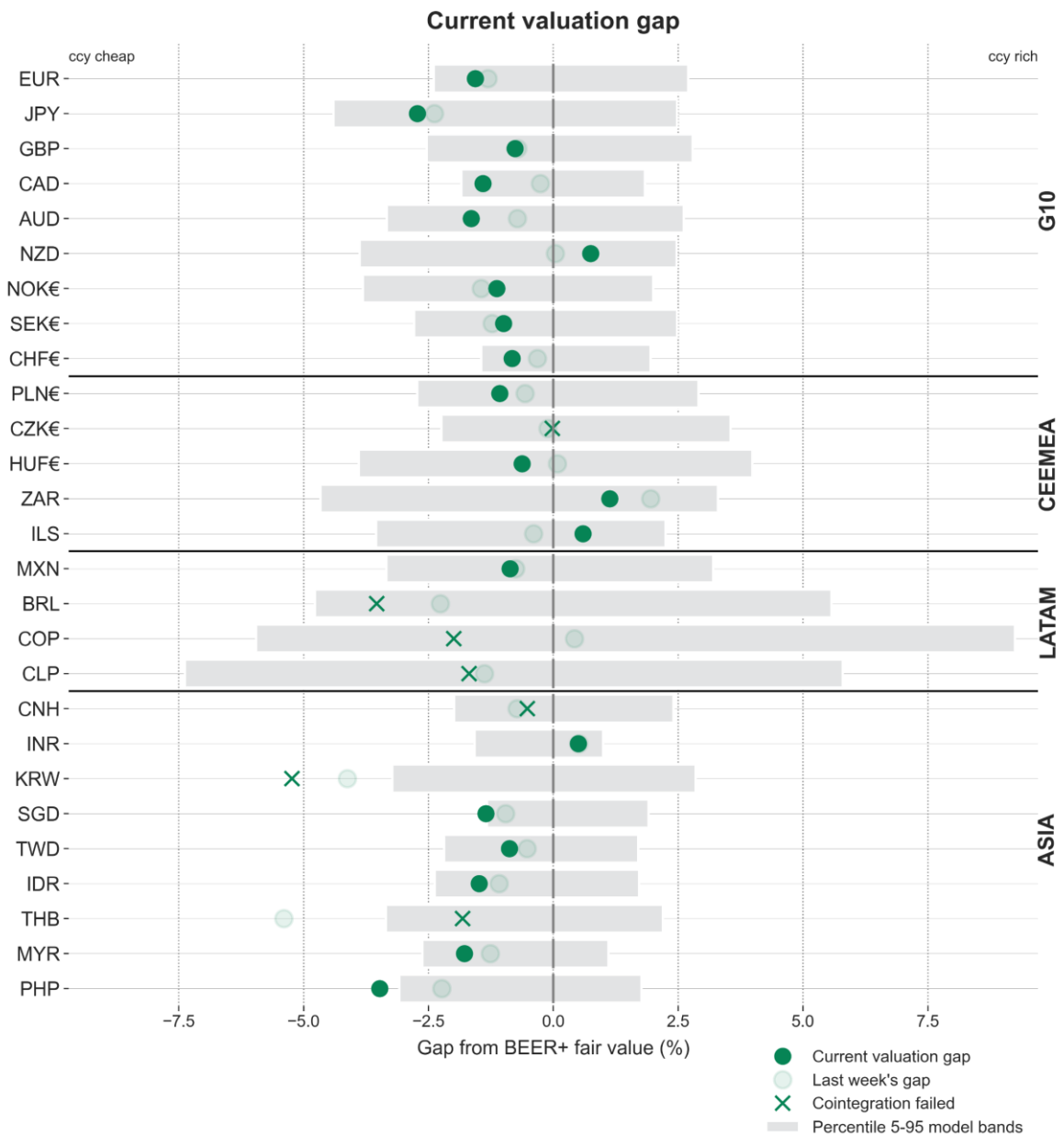


BEER+ FX fair-value model

Methodology: BEER+ is BNP Paribas’ fair-value FX model based on implementation of the Behavioural Equilibrium Exchange Rate model. It blends academic theory with high frequency data to provide a daily valuation framework for foreign exchange. Adaptive variable selection captures changing drivers of currency movements away from the path implied by the real exchange rate. For details see: [Introducing BNP Paribas BEER+ FX fair-value model](#), dated 1 February 2024.

For the latest model update see [BNP Paribas BEER+ update](#):

- The dollar continues to be rich according to BEER+, but valuations are now more evenly balanced.
- The largest valuation gap persists in G10 and Asia FX.
- Valuations in CEEMEA and Latam are neutral, but we note that the model's fit – as determined by the cointegration filter – has been weak lately.



Sources: Bloomberg, BNP Paribas

FX forecasts*

USD Bloc	Spot	Q2 24	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURUSD	1.08	1.05	1.05	1.06	1.07	1.08	1.09	1.10
USDJPY	157	155	154	153	151	150	149	148
USDCHF	0.92	0.93	0.93	0.92	0.92	0.91	0.90	0.89
GBPUSD	1.27	1.25	1.27	1.28	1.29	1.30	1.31	1.33
USDCAD	1.37	1.38	1.38	1.38	1.37	1.37	1.36	1.36
AUDUSD	0.66	0.64	0.64	0.65	0.66	0.66	0.67	0.67
NZDUSD	0.61	0.59	0.59	0.60	0.61	0.61	0.62	0.62
USDSEK	10.74	11.05	10.95	10.75	10.56	10.46	10.28	10.18
USDNOK	10.65	11.05	10.95	10.75	10.56	10.46	10.28	10.18

EUR Bloc	Spot	Q2 24	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
EURJPY	170	163	162	162	162	162	162	163
EURGBP	0.85	0.84	0.83	0.83	0.83	0.83	0.83	0.83
EURCHF	0.99	0.98	0.98	0.98	0.98	0.98	0.98	0.98
EURSEK	11.62	11.60	11.50	11.40	11.30	11.30	11.20	11.20
EURNOK	11.52	11.60	11.50	11.40	11.30	11.30	11.20	11.20

CEEMEA	Spot	Q2 24	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDPLN	3.94	4.10	4.05	4.01	3.97	3.94	3.90	3.86
EURCZK	24.72	25.40	25.80	26.00	26.00	26.00	26.00	26.00
EURHUF	385	400	405	405	410	410	415	420
USDZAR	18.43	19.25	19.00	18.75	18.50	18.25	18.25	18.25
EURRON	4.97	4.98	4.98	4.98	4.98	4.98	4.98	4.98
EURPLN	4.26	4.30	4.25	4.25	4.25	4.25	4.25	4.25
USDTRY	32.26	32.85	34.43	36.10	37.61	39.14	40.73	42.40

Asia Bloc	Spot	Q2 24	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDSGD	1.35	1.37	1.37	1.36	1.35	1.34	1.34	1.34
USDMYR	4.72	4.78	4.84	4.82	4.80	4.78	4.76	4.75
USDIDR	15993	16200	16500	16300	16200	16200	16200	16200
USDTHB	36.72	37.20	37.50	37.20	36.90	36.60	36.30	36.00
USDPHP	58.20	58.50	59.00	58.60	58.40	58.40	58.40	58.40
USDHKD	7.81	7.82	7.83	7.82	7.81	7.81	7.81	7.80
USDCNY	7.24	7.30	7.45	7.40	7.35	7.30	7.25	7.20
USDTWD	32.27	32.80	33.00	32.80	32.50	32.30	32.10	32.00
USDKRW	1369	1380	1400	1390	1380	1370	1360	1350
USDINR	83.07	83.50	84.00	83.80	83.60	83.40	83.20	83.20

LATAM Bloc	Spot	Q2 24	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
USDBRL	5.14	5.35	5.40	5.40	5.45	5.30	5.20	5.10
USDCLP	910	990	1000	1025	1000	990	980	970
USDMXN	16.73	17.10	17.20	17.40	17.70	17.40	17.10	16.50
USDCOP	3867	4000	4050	4100	4100	4000	3950	3900
USDPEN	3.74	3.80	3.85	3.85	3.85	3.75	3.70	3.70

Others	Spot	Q2 24	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
DXY	105	107	107	105.9	105	104	103	102.2

*End Quarter

Spots as at 9:33 AM 24/05/2024 BST. Sources: BNP Paribas, Bloomberg

Commodity forecasts

Forecasts*	Latest	Q2 24	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
ICE Brent 1m (USD/bbl)	81	90	92	87	79	81	84	82
NYMEX WTI 1m (USD/bbl)	77	85	88	82	75	77	80	78
Dubai 1m (USD/bbl)	82	89	91	86	79	80	82	81
EU TTF 1m (EUR/MWh)	35	29	29	35	38	29	24	28
JKM (\$/MMBtu)	12	10	10	11	13	10	9	10
Carbon EUA (EUR/t)	75	66	74	80	85	87	89	90
Carbon UKA 1m (GBP/t)	43	34	41	47	52	56	63	71
Power German base 1m (EUR/MWh)	74	64	73	104	115	82	81	91
Power French base 1m (EUR/MWh)	44	56	71	102	114	72	75	88
Power UK base 1m (GBP/MWh)	75	58	66	90	102	78	75	83
Nymex Henry Hub 1m (USD/MMBtu)	2.7	2.0	2.3	2.7	3.5	3.4	3.8	4.7
Gold COMEX 1m (USD/oz)	2339	2115	2090	2060	2035	2015	2005	2000
Silver COMEX (USD/oz)	30.6	22.9	23.5	24.0	24.1	24.2	24.4	24.7
Platinum COMEX 1m (USD/oz)	1027	925	970	1020	1050	1065	1080	1100
Palladium COMEX 1m (USD/oz)	980	1020	1050	1010	1005	1015	995	985
Aluminium LME 3m (USD/t)	2622	2285	2380	2470	2550	2650	2775	2900
Copper LME 3m (USD/t)	10418	8500	8575	8675	8775	8855	9005	9275
Nickel LME 3m (USD/t)	20084	17250	17125	16900	16625	16250	15915	16005
Zinc LME 3m (USD/t)	3063	2385	2400	2435	2455	2465	2485	2525
Cobalt CME (USD/lb)	12.8	13.6	13.8	14.0	14.2	14.3	14.4	14.6

***Quarterly averages**

Spots as at 9:34 AM 24/05/2024 BST. Sources: BNP Paribas, Bloomberg

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